ARRANGEMENT OF SECTIONS

Section

CHAPTER I

PART I

PRELIMINARY

1. Title.
2. Interpretation.
3. Application of regulations.
4. Types of insurance business and insurance contracts.
5. Classification of contracts.
6. Restriction on insurers carrying on non-insurance business.
7. Insurers and insurance intermediaries to be registered.

CHAPTER II

PART I

PRUDENTIAL REQUIREMENTS FOR INSURERS

8. Application of Chapter.
9. Core obligations of insurers.

PART II

REQUIREMENT TO ESTABLISH SYSTEMS AND CONTROLS

10. Systems and controls.
11. Systems for risk management and internal controls.
12. Controlled functions.
13. Insurance risk manager.
14. Insurance internal audit manager.

Section

15. Actuary.
16. Outsourcing of risk management function or actuarial function.
17. Outsourcing of controlled functions.

PART III

RISK MANAGEMENT STRATEGY

18. Establishment of risk management strategy.
19. Contents of risk management strategy.
20. Contents of risk management policy.
21. Contents of risk tolerance statement.
22. Approval of risk management strategy.

PART IV

OWN RISK AND SOLVENCY ASSESSMENT

23. Insurer's obligation to conduct own risk and solvency assessment.
24. Own risk and solvency assessment requirements.
25. Own risk and solvency assessment report requirements.

PART V

CAPITAL ADEQUACY REQUIREMENTS

26. Calculation of eligible capital and capital requirements.
27. Use of internal models to calculate capital requirement.
28. Statistical quality test.
29. Calibration test.
30. Use test.
31. Documentation of internal model.
32. Ongoing validation and supervisory approval of internal model.
33. Solvency control levels.
34. Contents of recovery plans and finance schemes.

Section

35. Eligible capital below capital floor level.
36. Reduction of eligible capital.
37. Notification of dividends and distributions.

PART VI

INVESTMENT

38. Admissible assets.
39. Assets appropriate to liabilities.
40. Ability to assess risks.
41. Investment restrictions.
42. Investment policy and procedures.

PART VII

SEGREGATION OF LONG-TERM INSURANCE ASSETS AND LIABILITIES

43. Establishment of long-term insurance funds.
44. Attribution of contracts to long-term insurance fund.
45. Segregation of assets and liabilities.
46. Recordkeeping: attribution of assets and liabilities to long-term insurance fund.
47. Limitation on use of assets in long-term insurance fund.

PART VIII

VALUATION

48. Matching assets and liabilities.
49. Recognition and measurement of assets and liabilities.
50. Treatment of particular assets and liabilities-General insurance business.
51. Treatment of particular assets and liabilities - long-term insurance.

PART IX

ACTUARIAL REPORTING

Section

52. Insurers that are required to have actuaries.
53. Centre may direct an actuary to conduct special review.
54. Insurers not required to have actuary.
55. Actuarial reporting requirements for general insurance business.
56. Additional powers of Centre to direct Insurer to obtain actuarial report.

PART X

INSURERS THAT ARE MEMBERS OF GROUPS

57. Interpretation in Part.
58. Application of Part.
59. Group structure.
60. Direction regarding capital resources.
61. Intra-group transactions.
62. Certain transactions to be inquired into by insurer's governing body.
63. Specific obligations of group members.

PART XI

TRANSFER OF INSURANCE BUSINESS

64. Interpretation.
65. Requirement for order of Centre Court.
66. Application for sanction order.
67. Scheme report.
68. Scheme Summary.
69. Notice given to policyholders.

PART XII

INSURERS IN RUN-OFF

Section
70. Interpretation and application of Part.
71. Compliance by Insurer directed to go into run-off.
72. Insurers ceasing to effect contracts of insurance in a category.
73. Run-off plans.
74. Provisions in respect of contracts relating to insurance business in run-off.
75. Limitations on distributions by Insurers in run-off.

PART XIII

PRUDENTIAL RETURNS

76. Obligation to prepare prudential returns.

PART XIV

CAPTIVE INSURERS

77. Interpretation.
78. Classification of captive Insurer.
79. Captive Insurer to be incorporated in Centre.
80. Protected cell companies.
81. Application of certain provisions of regulations to captive Insurers.
82. Capital adequacy-minimum capital requirement for captive Insurer.
83. Capital adequacy-minimum capital requirement for protected cell company.
84. Prescribed capital requirement for a protected cell company.
85. Eligible capital of protected cell company.

CHAPTER III

Prudential Requirements for Insurance Intermediaries and Insurance Managers

PART I

Section

86. Interpretation.
87. Application of Chapter.

PART II

General Financial Resources Requirements

88. Governing body's responsibilities.
89. Systems and controls.
90. Financial resources.

PART III

Minimum Capital Requirement

91. References to capital resources.
92. Minimum capital requirements for authorised firm.

PART IV

Professional Indemnity Insurance

93. Firms must take out and maintain professional indemnity insurance.
94. Persons suitable to provide professional indemnity insurance.
95. Requirements for professional indemnity insurance policies.

PART V

Reporting and Notification Requirements

96. Preparing returns.
97. Signing returns.
98. Reductions in paid-up share capital and other capital instruments.
99. Breaches of Chapter.

PART VI

GENERAL PROVISIONS

Section

100. Operation of branches of participants.

FIRST SCHEDULE: Categories of general insurance.

SECOND SCHEDULE: Categories of long-term insurance.

THIRD SCHEDULE: Calculation of eligible capital.

FOURTH SCHEDULE: Calculation of minimum capital requirement.

FIFTH SCHEDULE: Calculation of prescribed capital requirement.

SIXTH SCHEDULE: Prudential returns by insurers.

IT is hereby notified that the Minister of Finance, Economic Development and Investment Promotion, in terms of section 81 of the Banking Act [*Chapter 24:20*], hereby makes the following regulations:—

CHAPTER I

PART I

PRELIMINARY

Title

1. These regulations may be cited as the Banking (Victoria Falls International Financial Services Centre) (Insurance) Regulations, 2026.

Interpretation

2. In these regulations—

"actuary" means the approved individual performing the role outlined in section 15;

"asset risk component" means the capital component identified in paragraph 4 of the Fifth Schedule;

"associate" means—

(a) a holding company, subsidiary or related company of an insurer;

(b) a subsidiary or related company of a holding company of an insurer;

(c) a holding company of a subsidiary of an insurer; or

(d) a company that, alone or with associates, is entitled to exercise, or control the exercise of, more than fifty *per centum* of the voting power in the general meeting of an insurer;

"capital floor" means the minimum paid up share capital, or equivalent in any currency acceptable to the Centre, which must be maintained by an insurer pursuant to paragraph 1 (a) of the Fourth Schedule;

"captive insurer" means an authorised firm with a licence to carry on insurance business only for the business or operations of the group to which it belongs;

"captive insurance business" means the business of effecting or carrying out contracts of insurance only for the business or operations of the group to which the captive insurer belongs;

"Centre" means the Victoria Falls International Financial Centre;

"Centre-incorporated insurer" means an insurer that is incorporated as a legal entity under the laws of the international financial services centre;

"contract of insurance" means any enforceable contract under which a provider undertakes in consideration of one or more payments to pay money or provide a corresponding benefit (including in some cases services to be paid for by the provider) to a recipient in response to a defined event the occurrence of which is uncertain (either as to when it will occur or as to whether it will occur at all) and adverse to the interests of the recipient;

"contract of reinsurance" means a contract of insurance covering all or part of a risk to which a person is exposed under a contract of insurance;

"counterparty grade" means the grade of an asset according to the rating of its counterparty, in accordance with Table in paragraph 3 (a) of the Fifth Schedule;

"eligible capital" means the capital instruments that may be recognised by an insurer for the purpose of meeting its minimum capital requirements and prescribed capital requirements in accordance with the Third Schedule;

"financial condition report" means the report identified in section 52(2) to (6);

"general captive insurance business" means captive insurance business in relation to general insurance contracts;

"general insurance business" means insurance business in relation to general insurance contracts;

"general insurance contract" means a contract of insurance that falls within one of the categories set out in the First Schedule;

"insurance business" means the business of assuming the obligations of an insurer in any type of insurance business, including reinsurance business;

"insurance intermediary" means a person who acts as a middleman between insurance companies and clients, facilitating the purchase of insurance policies, and includes insurance brokers and insurance agents;

"insurance liabilities" means liabilities of an insurer arising out of its general insurance business and long-term insurance business;

"insurance risk requirement" means the capital component identified in paragraph 2 of the Fifth Schedule;

"insurer" means an authorised firm with an authorisation to conduct insurance business;

"internal auditor" means the approved individual performing the role identified in section 14;

"international financial services centre" means the Victoria Falls International Financial Services Centre;

"investment risk requirement" means the sum of an insurer's asset risk component, off-balance sheet asset risk component and off-balance sheet liability risk component;

"life policy" means a long-term insurance contract (other than a contract of reinsurance or a pure protection contract) and includes a long-term care insurance contract;

"long-term captive insurance business" means captive insurance business in relation to long-term insurance contracts;

"long-term care insurance" means a long-term insurance contract—

(a) that satisfies the following conditions—

(i) it provides (or would at the policyholder's option provide) benefits for the policyholder in the event that the policyholder's mental or physical health deteriorates to the extent that he or she is incapacitated, is unable to live independently without assistance, and is not expected to recover to the extent that he or she could live independently without assistance; and

(ii) hose benefits are payable or provided for services, accommodation or goods that are necessary or desirable for the continuing care of the policyholder because of that incapacity; and

(iii) those benefits can be paid periodically for all or part of the period during which the policyholder is unable to live independently without assistance; or

(b) that is sold or held out as providing benefits for the policyholder as set out in paragraph (a);

"long-term insurance business" means insurance business in relation to long-term insurance contracts;

"long-term insurance contract" means a contract of insurance that falls within one of the categories set out in the Second Schedule;

"long-term insurance fund" means a fund established by an insurer for the purposes of Part VII (Segregation of long-term insurance assets and liabilities);

"long-term insurance risk component" means the capital component identified in paragraph 9(b) of the Fifth Schedule;

"non-investment insurance contract" means a contract of insurance that is a general insurance contract or a pure protection contract but is not a long-term care insurance contract;

"off-balance sheet asset risk component" means the capital component identified in paragraph 5 of the Fifth Schedule;

"off-balance sheet liability risk component" means the capital component identified in paragraph 6 of the Fifth Schedule;

"operational risk requirement" means the capital component identified in paragraph 2 of the Fifth Schedule;

"outstanding claims risk component" means the capital component identified in paragraph 8 of the Fifth Schedule;

"packaged product" means—

(a) a life policy; or

(b) a unit in a collective investment scheme;

"participant" has the meaning given to it in terms of the Banking (Victoria Falls International Financial Services Centre) (General) Regulations, 2026, to provide services within the Victoria Falls International Financial Services Centre;

"policyholder" means the person who for the time being is the legal holder of a contract of insurance, including any person to whom, under the contract of insurance, a sum is due, a periodic payment is payable or any other benefit is to be provided or to whom such a sum, payment or benefit is contingently due, payable or to be provided;

"premium risk component" means the capital component identified in paragraph 7 of the Fifth Schedule;

"product disclosure document" for a packaged product produced by an authorised firm means a statement in writing prepared by the firm for the product;

"pure protection contract" means a long-term insurance contract that meets all of the following conditions—

(a) the benefits under the contract are payable only on death or for incapacity due to injury, sickness or infirmity;

(b) the contract has no surrender value, or the consideration consists of a single premium and the surrender value does not exceed that premium;

(c) the contract makes no provision for its conversion or extension in a way that would result in it ceasing to comply with paragraph (a) or (b);

(d) the contract is not a contract of reinsurance;

"reinsurance" means the insurance of any class of insurance business;

"risk management policy" means a written policy that complies with the requirements of section 20;

"risk management strategy" means a written strategy document that complies with the requirements of section 19;

"risk manager" means the approved individual performing the role outlined in section 13;

"solvency reference date" means the date at which an insurer's compliance with the requirements of Part IV (Capital adequacy requirements) is assessed;

"Tier 1 Capital" means the components of capital identified in paragraph 3 of the Third Schedule;

"Tier 2 Capital" means the components of capital identified in paragraph 4 of the Third Schedule.

Application

3. These regulations shall apply to—

(a) every insurer; and

(b) every insurance intermediary and insurance manager;

registered in terms of these regulations.

Types of insurance businesses and insurance contracts

4. (1) The types of insurance businesses as categorised in the First and Second Schedules shall be as follows—

(a) general insurance; and

(b) long-term insurance business.

(2) The Centre may determine that any particular category of insurance which the insurer carries or intends to carry on shall be treated, for the purposes of these regulations, as insurance business of another category.

(3) The Centre may, with the Minister's approval, establish other types and categories of insurance business, in addition to those specified in the First and Second Schedules.

(4) The types of insurance contracts shall be as follows—

(a) general insurance contract; and

(b) long-term insurance contract.

(5) No insurer must carry on, in or from the Centre, both long-term insurance business and general insurance business unless the general insurance business is restricted to general insurance Categories 1 (accident) and Categories 2 (sickness).

Classification of contracts

5. (1) Every insurer must, in its own records, classify all contracts of insurance carried out by it as an insurer, including all contracts of reinsurance entered into by it as cedant, according to the category to which the contracts of insurance relate.

(2) Where a contract of insurance relates to more than one category, the insurer must record separately the portions of the contract of insurance that relate to each category, except that immaterial portions need not be separately recorded.

Restriction on insurers carrying on non-insurance business

6. (1) No insurer must carry on any activity other than insurance business unless the activity is directly connected with, or carried on for the purposes of, insurance business.

(2) For the avoidance of doubt, managing investments is not an activity directly connected with, or carried on for the purposes of, insurance business.

Insurers and insurance intermediaries to be registered

7. Every person who intends to conduct insurance business in the Centre must be licensed as an insurer in terms of Statutory Instrument 29 Banking (Victoria Falls International Financial Services Centre) Regulations, 2025.

CHAPTER II

PRUDENTIAL REQUIREMENTS FOR INSURERS

PART I

Application of Chapter II

8. (1) This Chapter shall—

(a) apply to every insurer;

(b) not apply to insurers that are branches of entities established and regulated outside the Centre.

Core obligations of insurers

9. Every insurer must fulfil the following core obligations—

(a) establish and maintain systems and controls in accordance with the requirements specified in Part II (Systems and Controls) and Part V (Controlled and designated functions) of the Banking (Victoria Falls International Financial Services Centre) (General) Regulations, 2026;

(b) establish and implement a risk management strategy in accordance with the requirements specified in Part III (Risk Management Strategy);

(c) conduct an own risk and solvency assessment and submit a report thereon to the Centre in accordance with the requirements of Part IV (Own Risk and Solvency Assessment);

(d) at all times maintain eligible capital in an amount and of a quality required by Part V (Capital adequacy requirements);

(e) make investments in accordance with the requirements of Part VI (Investment);

(f) in respect of an insurer carrying on long-term insurance business, segregate its long-term insurance assets and liabilities in accordance with Part VII (Segregation of Long-Term Insurance Assets and Liabilities);

(g) value its assets and liabilities in accordance with the requirements of Part VIII (Valuation);

(h) prepare and submit to the Centre the actuarial reports that it is required to produce pursuant to the requirements of Part IX (Actuarial reporting);

(i) in respect of an insurer that is a member of a group, to comply with the requirements of Part X (Insurers that are members of Groups);

(j) in respect of an insurer that is party to an insurance business transfer, comply with the requirements of Part XI (Transfer of Insurance Business);

(k) in respect of an insurer that is in run-off, comply with the requirements of Part XII (Insurers in Run-off);

(l) prepare the prudential returns that are required to be produced pursuant to Part XIII (Prudential Returns).

PART II

Requirement to Establish Systems and Controls

Systems and controls

10. (1) Every insurer must comply with the systems and controls requirements specified in the Banking (Victoria Falls International Financial Services Centre) (General) Regulations 2026.

(2) In addition to the systems and control requirements specified in the Banking (Victoria Falls International Financial Services Centre) (General) Regulations, 2026, every insurer must comply with the systems and control requirements specified in this Part.

Systems for risk management and internal controls

11. Every insurer—

(a) must establish and maintain an effective risk management function capable of assisting the insurer to identify, assess, monitor, mitigate and report on its key risks in a timely way, and to promote and sustain a sound risk culture; and

(b) is subject to obligations in respect of operational risk, legal risk and fraud risk pursuant to section 122(a) of the Banking (Victoria Falls International Financial Services Centre) (General) Regulations, 2026; and

(c) must establish and maintain an effective actuarial function capable of evaluating and providing advice regarding, at a minimum, technical provisions, premium and pricing activities, capital adequacy, reinsurance and compliance with related statutory and regulatory requirements.

Controlled functions

12. (1) The following roles shall be designated as controlled functions of an insurer within the meaning given to them in the Banking (Victoria Falls International Financial Services Centre) (General) Regulations, 2026—

(a) insurance risk manager;

(b) insurance internal audit manager; and

(c) actuary.

(2) The following shall be mandatory appointments, and every insurer must make the appointments and ensure that they are, at all times, held by one or more individuals approved by the Centre—

(a) insurance risk manager; and

(b) insurance internal audit manager.

(3) Every insurer must also appoint an approved individual as an actuary and ensure that such role is held at all times by an approved individual if—

(a) it conducts long-term insurance business; or

(b) it conducts general insurance business and—

(i) more than fifteen *per centum* of its gross outstanding liabilities are attributable to contracts of insurance for general insurance business in general insurance Category 1 (accident) or Category 2 (sickness); or

(ii) more than twenty *per centum* of its gross outstanding liabilities are attributable to contracts of insurance for general insurance business in general insurance Categories 10 (motor vehicle liability), 11 (aircraft liability), 12 (liability of ships), 13 (general liability), 14 (credit) or 15 (suretyship).

Insurance risk manager

13. The insurance risk manager shall be an individual responsible for the insurer's risk management function.

Insurance internal audit manager

14. The insurance internal audit manager shall be an individual responsible for—

(a) the insurer's internal audit policies, procedures and controls; and

(b) taking appropriate steps to ensure the implementation of and compliance with the said policies, procedures and controls.

Actuary

15. (1) The actuary shall be an individual responsible for—

(a) the insurer's actuarial policies, procedures and controls; and

(b) taking appropriate steps to ensure the implementation of and compliance with the said policies, procedures and controls.

(2) The actuary must not be an individual who—

(a) exercises the senior executive function for the insurer or a related body corporate (except a related body corporate that is a subsidiary of the insurer); or

(b) is an employee or director of an auditor for the insurer.

Outsourcing of risk management function or actuarial function

16. An insurer may only outsource its—

(a) risk management function; or

(b) actuarial function;

to an insurance manager, subject to the rules relating to outsourcing as may be prescribed.

Outsourcing of controlled functions

17. An insurer may appoint an employee of an insurance manager to perform the controlled function of insurance risk manager, insurance internal audit manager, actuary, finance officer or compliance officer, provided that such employee is an individual approved by the Centre.

PART III

Risk Management Strategy

Establishment of risk management strategy

18. (1) Every insurer must establish, document and implement a risk management strategy that is appropriate to the nature, scale and complexity of its business.

(2) An insurer must not intentionally deviate materially from its risk management strategy unless such deviation has been—

(a) approved by its governing body in accordance with section 22; and

(b) notified to the Centre in accordance with section 22(5).

Contents of risk management strategy

19. An insurer's risk management strategy must—

(a) provide for the identification and quantification of material risks under a sufficiently wide range of outcomes using techniques which are appropriate to the nature, scale and complexity of the risks it bears;

(b) include a risk management policy that complies with section 20;

(c) include a risk tolerance statement that complies with the requirements of section 21;

(d) be supported by accurate documentation;

(e) describe how the insurer will—

(i) ensure that relevant staff have an awareness of risk issues and the accessibility of the risk management strategy; and

(ii) instil an appropriate risk culture;

(f) include a business continuity plan for ensuring that critical business operations can be maintained or recovered in a timely fashion in the event of disruption;

(g) be responsive to changes in its risk profile; and

(h) incorporate a feedback loop, based on appropriate and good quality information, management processes and objective assessment, which enables it to take the necessary action in a timely manner in response to changes in its risk profile.

Contents of risk management policy

20. An insurer's risk management policy must—

(a) describe how all relevant and material categories of financial and non-financial risk are monitored, measured and managed, both in the insurer's business strategy and its day-to-day operations, including at least the following risks—

(i) credit risk;

(ii) balance sheet and market risk (including investment, asset-liability management, liquidity and derivatives risks);

(iii) reserving risk;

(iv) insurance risk (including underwriting, product design, pricing and claims settlement risks);

(v) reinsurance risk;

(vi) operational risk (including business continuity, outsourcing, fraud, technology, legal and project management risks);

(vii) concentration risk;

(viii) group risk;

(b) describe the relationship between the insurer's tolerance limits, regulatory capital requirements, economic capital and the processes and methods for monitoring risk;

(c) include the following specific policies—

(i) a policy regarding investment that specifies the nature, role and extent of the insurer's investment activities and how the insurer complies with the investment requirements under these regulations;

(ii) a policy regarding asset-liability management that specifies the nature, role and extent of asset-liability management activities and their relationship with product development, pricing and investment management;

(iii) a policy regarding underwriting that specifies the risks to be accepted by the insurer as part of its insurance business, the processes for underwriting, pricing and claims settlement;

(iv) a policy ensuring that any contract of reinsurance to which it is a party is finalised (and the material documents supporting the contract are completed) before the start of reinsurance cover (the start date), or as soon as possible after the start date (but in

no case later than sixty (60) days after the start date);

(v) a policy regarding procedures for business continuity that enable the insurer to manage any initial disruption of business and to recover critical business operations following such a disruption.

Contents of risk tolerance statement

21. An insurer's risk tolerance statement must—

(a) set out its overall quantitative and qualitative risk tolerance levels;

(b) define risk tolerance limits which consider all relevant and material categories of risk and the relationships between them.

Approval of risk management strategy

22. (1) Every insurer's risk management strategy must be approved by the insurer's governing body.

(2) Where an insurer intends to materially change or deviate from its risk management strategy, such change or deviation must be approved by the insurer's governing body.

(3) Before giving its approval to a risk management strategy, or to any amendment to or deviation from a risk management strategy, the governing body of an insurer must be satisfied that—

(a) the strategy and any changes to it mitigate and control the risks included in the insurer's risk management policy; and

(b) the risk management policy is appropriate and gives reasonable assurance that all material risks facing the insurer are prudently and soundly managed, having regard to the nature, scale and complexity of the insurer's business.

(4) An insurer must submit to the Centre a copy of its risk management strategy within seven business days after its approval,

and any subsequently amended version of that strategy must be submitted to the Centre within seven business days from the date of approval of such amended version.

(5) Where an insurer intends to materially change or deviate from its risk management strategy, the insurer must, at least seven business days before the change or deviation, notify the Centre of such change or deviation.

PART IV

Own Risk and Solvency Assessment

Insurer's obligation to conduct own risk and solvency assessment

23. (1) Every insurer must—

(a) at least annually, conduct an own risk and solvency assessment in terms of section 24; and

(b) submit a report to the Centre on its own risk and solvency assessment in terms of section 25.

(2) An insurer must conduct a fresh own risk and solvency assessment and submit a revised own risk and solvency assessment report to the Centre if there is a change to the insurer's risk management strategy, strategic plan or business plan and the change results, or there are reasonable grounds to believe that the change will result, in a material change in the capital adequacy or solvency of the insurer.

Own risk and solvency assessment requirements

24. (1) In conducting its own risk and solvency assessment, an insurer must assess—

(a) its overall solvency needs, including its own view of the adequacy of its capital resources to meet the regulatory capital requirements;

(b) the actions it has taken to manage the risks to which it is exposed;

(c) the financial resources needed—

(i) to manage its business prudently; and

(ii) to meet the capital adequacy requirements in Part V (Capital adequacy requirements);

(d) the nature and quality of the capital resources needed, having regard to their loss-absorbing capacity and liquidity;

(e) the effect on the insurer's solvency position of all reasonably foreseeable and relevant changes in its risk profile (including group-specific risks); and

(f) its ability to meet its minimum capital requirements and prescribed capital requirements and continue in business, and the financial resources needed, over periods longer than those typically used for calculating its capital adequacy requirements under Part V (Capital adequacy requirements).

(2) An insurer must include as part of any quantitative evaluation in its own risk and solvency assessment—

(a) stress and scenario tests;

(b) the occurrence of extreme events to which the insurer is exposed; and

(c) other unlikely but possible adverse scenarios that would render the insurer's business model unviable.

(3) The own risk and solvency assessment must be appropriate to the nature, scale and complexity of the insurer's insurance business.

Own risk and solvency assessment report requirements

25. (1) An insurer's own risk and solvency assessment report must present all the following—

(a) the qualitative and quantitative results of the own risk and solvency assessment and the conclusions drawn by the insurer from those results;

(b) the methods and main assumptions used in the own risk and solvency assessment;

(c) information on the insurer's overall solvency needs and a comparison of those solvency needs with its capital

adequacy requirements under Part V (Capital adequacy requirements) and its eligible capital;

(d) qualitative and (if relevant) quantitative information on the extent to which quantifiable risks to which the insurer is exposed are not reflected in the calculation of the prescribed capital requirement.

(2) An own risk and solvency assessment report must include a statement that the insurer's governing body participated in the own risk and solvency assessment and approved the own risk and solvency assessment report.

PART V

CAPITAL ADEQUACY REQUIREMENTS

Calculation of eligible capital and capital requirements

26. Subject to section 100, every insurer must—

(a) calculate its eligible capital on an ongoing basis in accordance with the rules set out in the Third Schedule;

(b) calculate its minimum capital requirement on an ongoing basis in accordance with the rules set out in Fourth Schedule;

(c) calculate its prescribed capital requirement at least once a year in accordance with the rules set out in Fifth Schedule; and

(d) immediately recalculate its prescribed capital requirement if its risk profile deviates significantly from the risk profile detailed in its last reported prescribed capital requirement.

Use of internal models to calculate capital requirements

27. (1) The Centre may, by written notice, allow an insurer to use its own internal model to calculate a component or components of its prescribed capital requirement.

(2) The Centre may allow an insurer to use its internal model if it is satisfied that the model—

(a) operates within a risk management environment that is conceptually sound and supported by adequate resources;

(b) addresses all material risks to which the insurer could reasonably be expected to be exposed and is commensurate with the relative importance of those risks, based on the insurer's business mix;

(c) is closely integrated into the day-to-day management process of the insurer;

(d) is supported by appropriate audit and compliance procedures;

(e) is subjected to, as a minimum, three tests, namely—

(i) statistical quality test, as explained in section 28;

(ii) calibration test, as explained in section 29; and

(iii) use test, as explained in section 30;

the results of which demonstrate that the model is appropriate for regulatory capital purposes; and

(f) is subject to adequate processes established by the insurer to validate the accuracy of the calculations made using the internal model, as well as for monitoring and assessing its ongoing performance.

Statistical quality test

28. An insurer seeking approval for its internal model must demonstrate—

(a) that the prescribed capital requirement or component of the prescribed capital requirement calculated using the internal model addresses the overall risk position of the insurer, subject to the nature, scale and complexity of the t insurer and its risk exposures;

(b) the theoretical validity of the internal model, including—

(i) the suitability of model structure, data (including completeness and accuracy), and estimation within the insurer's business context;

(ii) the appropriateness of the internal model basis within the industry context, including

methodological benchmarking to alternatives and best practice;

(iii) the appropriateness of the parameter estimations. The insurer must demonstrate that the parameter estimations are appropriate within the market and industry context, and parameter uncertainty is addressed to the extent possible; and

(iv) the consistency, soundness and justification of the methodologies, distributions, aggregation techniques and dependencies (within and among risk categories) adopted;

(c) the analytical validity of the internal model, including—

(i) the statistical process for validating that the results of the model are fit for the purpose for which they are used;

(ii) the implementation of the model given the theoretical basis, goodness of fit, forecasting capability for out-of-sample observations (back testing), sensitivity to changes in key underlying assumptions and stability of outputs;

(iii) the back testing applied at various levels of the business activity;

(iv) the sensitivity analysis undertaken, which should validate the parts of the internal model where expert judgement is used and should examine whether the model output is sensitive to changes in key assumptions;

(v) the convergence of the model to demonstrate that model outputs are statistically significant;

(vi) the processes of monitoring the model's performance; and

(vii) where possible, benchmarking the model results and techniques with peers, available literature and research.

Calibration test

29. An insurer must demonstrate that the prescribed capital requirement or component of the prescribed capital requirement produced by its internal model is consistent with the specified modelling criteria.

Use test

30. (1) An insurer must—

(a) demonstrate that the internal model (its methodologies and results) is fully integrated within its risk and capital management and system of governance processes and procedures;

(b) have adequate governance and internal controls in place with respect to the internal model.

(2) An insurer's governing body must—

(a) have overall control of and responsibility for the construction and use of the internal model for risk management purposes;

(b) adequately understand the model's construction at appropriate levels within the insurer's organisational structure;

(c) understand the consequences of the internal model's outputs and limitations for risk and capital management decisions.

Documentation of internal model

31. (1) An insurer must, at a minimum, document the following—

(a) the design, construction, modelling criteria and governance of the internal model;

(b) the justification for and details of the underlying methodology, assumptions and quantitative and financial bases;

(c) if applicable, justification for choosing to only use a partial internal model for certain risks or business lines; and

(d) if applicable, the reliance on and appropriateness of the use of external vendors or suppliers.

(2) The documentation of the internal model must—

(a) be sufficiently detailed to demonstrate compliance with the statistical quality test, calibration test and use test;

(b) be timely and up to date.

Ongoing validation and supervisory approval of internal model

32. An insurer using an internal model must—

(a) monitor the performance of its internal model and regularly review and validate the ongoing appropriateness of the model's specifications against the criteria set out in sections 27 to 30;

(b) notify the Centre of material changes to the internal model made by it for review and continued approval of the use of the model for regulatory capital purposes;

(c) properly document internal model changes;

(d) report information necessary for supervisory review and ongoing approval of the internal model on a regular basis, as determined appropriate by the Centre.

Solvency control levels

33. (1) Every insurer must at all times have eligible capital equal to or higher than—

(a) the amount of its minimum capital requirement;

(b) the amount of its prescribed capital requirement.

(2) If an insurer becomes aware that it does not have, or there is a risk that within the following three months it will not have, eligible capital equal to or higher than the amount of its prescribed capital requirement, the insurer must—

(a) immediately inform the Centre; and

(b) within one month, submit to the Centre for its approval a short-term realistic finance scheme which complies with the requirements of section 34; and

(c) within six months (or such longer period as the Centre may specify), take the measures necessary to achieve the re-establishment of eligible capital covering the prescribed capital requirement, or the reduction of its risk profile to ensure compliance with the prescribed capital requirement; and

(d) take such steps (if any) as the Centre may require.

(3) If an insurer becomes aware that it does not have, or there is a risk that within the following three months it will not have, eligible capital equal to or higher than the amount of its minimum capital requirement, it must—

(a) immediately inform the Centre;

(b) within two months, submit to the Centre for its approval a short-term realistic finance scheme which complies with the requirements of section 34;

(c) within six months (or such longer period as the Centre may allow), take the measures necessary to achieve the re-establishment of the level of eligible capital covering the minimum capital requirement, or the reduction of its risk profile to ensure compliance with the minimum capital requirement; and

(d) take such steps, if any, as the Centre may require.

(4) The fact that an insurer has eligible capital equal to or in excess of its prescribed capital requirement or its minimum capital requirement does not preclude the Centre from intervention, or from requiring action by the insurer for other reasons, such as weaknesses in the risk management or governance of the insurer.

Contents of recovery plans and finance schemes

34. Every recovery plan or finance scheme must, as a minimum, include—

(a) estimates of management expenses, in particular current general expenses and commissions;

(b) estimates of income and expenditure in respect of direct business, reinsurance acceptances and reinsurance cessions;

(c) a forecast balance sheet;

(d) information about the Insurer's overall policy regarding reinsurance; and

(e) such other information as the Centre may specify.

Eligible capital below capital floor level

35. If at any time an insurer becomes aware that it does not have eligible capital in excess of the amount of the capital floor specified in the Fourth Schedule, it must immediately—

(a) stop effecting new contracts of insurance; and

(b) inform the Centre.

Reduction of eligible capital

36. (1) An insurer must not reduce the Tier 1 Capital component, as specified in the Third Schedule, of its eligible capital without the prior written approval of the Centre.

(2) When seeking approval for a reduction of its Tier 1 Capital under subsection (1), an insurer must provide to the Centre a capital plan that has incorporated the effects of the proposed reduction and—

(a) demonstrates that the Insurer will remain in excess of its minimum capital requirement for two years without relying on new capital issues;

(b) is consistent with the Insurer's business plan; and

(c) takes account of any possible acquisitions, locked-in capital in subsidiaries and the possibility of exceptional losses.

(3) Where an insurer intends to reduce its Tier 2 Capital, as specified in the Third Schedule, it must notify the Centre at least six months before the actual date of the proposed reduction, providing

details of how it will meet its minimum capital requirement after the proposed reduction.

Notification of dividends and distributions

37. Every insurer must report to the Centre all dividends and other distributions to shareholders within 15 business days following the declaration of the dividend or distribution.

PART VI

Investment

Admissible assets

38. Every insurer, when investing in assets, must consider whether, for the portfolio as a whole—

(a) its assets are sufficiently secure, having regard to their capacity to protect their value and preserve their economic substance;

(b) its assets are sufficiently liquid to ensure that the insurer can make payments to policyholders and creditors as they fall due;

(c) its assets are held in the appropriate location for their availability; and

(d) its assets are sufficiently diversified, subject to the nature, scale and complexity of the business.

Assets appropriate to liabilities

39. (1) An insurer must invest in a manner that is appropriate to the nature of its liabilities.

(2) Notwithstanding the generality of subsection (1), an insurer must—

(a) consider the extent to which the cash flows from its investments match the liability cash flows in both timing and amount, and how these changes in varying conditions;

(b) consider the investment guarantees and embedded options that are contained in its policies;

(c) consider the currency or currencies of its liabilities and the extent to which they are matched by the currencies of the assets;

(d) manage conflicts of interest (that may include, between the Insurer's corporate objectives and disclosed insurance policy objectives) to ensure assets are invested appropriately;

(e) for with-profits liabilities, hold an appropriate mix of assets to meet policyholders' reasonable expectations; and

(f) if it is part of an insurance group, hold investments tailored to the characteristics of its liabilities and its needs and not be subject to undue influence from the wider objectives of the group.

Ability to assess risks

40. (1) Every insurer must only invest in assets whose risks it can properly assess and manage.

(2) Notwithstanding the generality of subsection (1), an insurer must—

(a) ensure its investments, including those in collective investment funds, are sufficiently transparent and limit its investments to those where the associated risks of the asset can be properly managed by it;

(b) ensure that it understands all the risks involved in an investment before any investments are undertaken;

(c) if it can look through the structure of an investment to the underlying assets, consider the risk characteristics of the underlying assets and how this affects the risk characteristics of the investment itself;

(d) if it cannot look through the structure of an investment to the underlying assets, develop appropriate techniques to assess the risks associated with the investment.

Investment restrictions

41. (1) An insurer—

(a) must ensure that assets and securities that are not admitted to trading on a regulated financial market are kept to prudent levels;

(b) must not use a derivative instrument for speculation or proprietary trading;

(c) may only use a derivative instrument—

(i) to apply an index tracking strategy to part or all of a portfolio;

(ii) to apply capital-protected strategies to part or all of a portfolio;

(iii) to apply efficient portfolio management techniques to a portfolio; or

(iv) to reduce investment risk currently employed in a portfolio;

(d) must not invest in forward foreign exchange transactions, save to the extent that they hedge currency exposures to currencies other than the reporting currency in its prudential returns.

Investment policy and procedures

42. (1) Every insurer must—

(a) establish and maintain an investment policy which specifies–

(i) the nature, role and extent of its investment activities; and

(ii) how it complies with section 38;

(b) establish procedures for managing the risk associated with more complex and less transparent classes of assets and investment in markets or instruments that are subject to less governance or regulation.

PART VII

Segregation of Long-Term Insurance Assets and Liabilities

Establishment of long-term insurance funds

43. (1) An insurer conducting long-term insurance business must either—

(a) establish and maintain one or more long-term insurance funds; or

(b) notify the Centre that the insurer is deemed to constitute a single long-term insurance fund.

(2) Subject to subsection (3), all long-term insurance assets of an insurer shall constitute its long-term insurance fund.

(3) Where an insurer identifies particular long-term insurance assets in connection with different parts of its long-term insurance business, the assets identified in relation to each such part constitute separate long-term insurance funds of the Insurer.

(4) An insurer's long-term insurance assets constitute the items in subsection (5), adjusted to take account of—

(a) outgo in respect of the Insurer's long-term insurance business; and

(b) any transfers made out of the long-term insurance fund in accordance with section 47 (2).

(5) An insurer's long-term insurance assets shall consist of the following items—

(a) admissible assets identified by the insurer as being available to cover liabilities arising under or in connection with long-term insurance business with due regard to generally accepted actuarial practice (including assets into which those assets have been converted) but excluding any assets identified as being held to cover liabilities in respect of subordinated debt;

(b) any other assets identified by the insurer as being available to cover its liabilities arising from long-term

insurance business (including assets into which those assets have been converted), including, if the insurer so elects, assets which are excluded under paragraph (a);

(c) premiums and other receivables in respect of long-term insurance business;

(d) other receipts of the long-term insurance business; and

(e) all income and capital receipts in respect of the items set out in this subsection.

(6) An insurer that is deemed, in accordance with subsection (1)(b), to constitute a single long-term insurance fund shall be treated for all purposes relating to these rules as though the Insurer had established a long-term insurance fund to which all of the assets and liabilities of the insurer are attributed.

(7) An insurer that is a branch and that is subject to a regulatory requirement in another jurisdiction to arrange its affairs in a manner that is equivalent or substantially equivalent to the requirements of this section may make an application to the Centre for that arrangement of its affairs to be deemed to constitute a long-term insurance fund.

(8) If the Centre approves an application made in terms of subsection (7), it shall give a written notice to the branch stating the manner in which the arrangement will be deemed to constitute a long-term insurance fund.

Attribution of contracts to long-term insurance fund

44. (1) An insurer must attribute all long-term insurance business that it conducts to a long-term insurance fund.

(2) Subject to subsection (3), an insurer may not attribute general insurance contracts to a long-term insurance fund.

(3) An insurer may attribute contracts of insurance, general insurance Category 1 (accident) and general insurance Category 2 (sickness), to a long-term insurance fund.

Segregation of assets and liabilities

45. (1) An insurer that is required in terms of section 43 to establish and maintain one or more long-term insurance funds, or

has attributed contracts of insurance in general insurance Category 1 (accident) or general insurance Category 2 (sickness) to a long-term insurance fund, must—

(a) identify separately in its books and records the assets, liabilities, revenues and expenses attributable to that business; and

(b) ensure those assets, liabilities, revenues and expenses are recorded separately and accounted for as a long-term insurance fund.

(2) An insurer—

(a) must record all assets, liabilities, revenues and expenses in respect of a contract of insurance that is attributed to a long-term insurance fund as assets, liabilities, revenues and expenses of that long-term insurance fund;

(b) may at any time attribute any of its assets to a long-term insurance fund that was not previously attributed to such a long-term insurance fund.

(3) All revenues and expenses arising by way of earnings, revaluation or other change to the assets and liabilities of a long-term insurance fund must be recorded as revenues and expenses, or movements in capital, of that long-term insurance fund.

Recordkeeping: attribution of assets and liabilities to long-term insurance fund

46. An insurer must maintain adequate accounting and other records to identify—

(a) the contracts of insurance attributed to a long-term insurance fund in terms of section 44; and

(b) the assets, liabilities, revenues and expenses attributed to a long-term insurance fund in terms of section 45.

Limitation on use of assets in long-term insurance fund

47. (1) Subject to subsections (2) to (6), every insurer must ensure that assets that are attributable to a long-term insurance fund are applied only for the business attributed to the long-term insurance fund.

(2) Every insurer must ensure that assets attributable to a long-term insurance fund are not transferred to be available for other purposes of the Insurer except—

(a) where the transfer constitutes appropriation of a surplus determined in terms of section 52(10)(g) and the transfer is performed within four months of the reference date of the financial condition report that this determination forms part of;

(b) where the transfer constitutes a payment of dividend or returns of capital, in terms of subsection (4);

(c) where the transfer is made in exchange for other assets at fair value;

(d) where the transfer constitutes reimbursement of expenditure borne on behalf of the long-term insurance fund and in respect of expenses attributable to the long-term insurance fund; or

(e) where the transfer constitutes reattribution of assets attributed to the long-term insurance fund in error.

(3) An insurer must not make any distribution by way of dividend or return of capital assets attributable to a long-term insurance fund, if by doing so that would result in a breach of its obligations in terms of Part V (Capital adequacy requirements).

(4) An insurer that is deemed to constitute a single long-term insurance fund may only make a dividend or return of capital where the dividend or return of capital constitutes appropriation of a surplus determined in terms of section 52(1)(g), and either—

(a) the payment is made within four months of the reference date of the financial condition report determining that surplus and does not cause the total aggregate amount of the dividends or returns of capital made by the insurer since that reference date to exceed the amount of that surplus; or

(b) the payment is made more than four months after the reference date of the financial condition report determining that surplus, and does not cause the total

aggregate amount of the dividends or returns of capital made by the insurer since that reference date to exceed fifty *per centum* of the amount of that surplus.

(5) An insurer—

(a) must not lend or otherwise make available for use for any other purposes of the Insurer, or any purposes of any party related to the Insurer, assets attributable to a long-term insurance fund;

(b) may not enter into any arrangement, whether or not described as a contract of reinsurance, whereby a long-term insurance fund of the Insurer stands in the same relation to the Insurer as though the Insurer were the reinsurer in a contract of reinsurance in which the long-term insurance fund is the cedant.

PART VIII

VALUATION

Matching assets and liabilities

48. (1) An insurer must hold supporting assets of a value at least equal to the amount of its insurance liabilities.

(2) The assets must be of a sufficient amount, and of an appropriate currency and term, to ensure that the cash inflows from the assets meet the expected cash outflows from the insurer's insurance liabilities as they fall due.

(3) In determining the expected cash outflows from its insurance liabilities for the purposes of subsection (2), an insurer must take into account any options that exist in the insurer's contracts of insurance, including—

(a) any unilateral option available to the policyholder to extend a contract of insurance; and

(b) any unilateral right available to the insurer to either cancel or renew a contract of insurance.

(4) In projecting cash flows in relation to long-term insurance business for the purposes of subsection (2), an insurer carrying on

long-term insurance business must take into account the nature of the projections and the factors relevant to its long-term insurance business, including—

(a) expected investment earnings;

(b) expected reinsurance recoveries;

(c) mortality and morbidity;

(d) expenses;

(e) options and guarantees; and

(f) persistency.

Recognition and measurement of assets and liabilities

49. (1) An insurer may—

(a) measure the value of an asset at less than the value determined in accordance with this section; and

(b) measure the value of a liability at more than the value determined in accordance with this section.

(2) Where the Centre directs an insurer to measure an asset or a liability in accordance with principles that differ from those specified in this section, the insurer must measure such assets or liabilities in accordance with those principles as directed.

(3) Save were directed otherwise by the Centre, or where inconsistent with the rules in this section, an insurer must recognise its assets and liabilities and measure their value in accordance with the International Financial Reporting Standards (IFRS) basis of accounting.

(4) In measuring assets and liabilities, an insurer must use methods and prudent assumptions that—

(a) are appropriate to the nature, scale and complexity of the insurer's business;

(b) are made using professional judgement, training and experience;

(c) are made having regard to reasonably available statistics and other information;

(d) are consistent from year to year and without arbitrary changes;

(e) include appropriate margins for adverse deviation of relevant factors;

(f) recognise the distribution of profits or emerging surplus in an appropriate way over the duration of each contract of insurance;

(g) are in accordance with generally accepted actuarial practice; and

(h) do not reflect the Insurer's own credit rating.

(5) Where the valuation of an asset or liability is dependent upon the adoption of assumptions or the adoption of a calculation method, an insurer must ensure that any change in the assumptions or methods adopted is reflected immediately in the value attributed to the asset or liability concerned.

(6) The recognition of the effects of changes in assumptions or methods may not be deferred to future reporting periods.

(7) The Centre may specify actuarial principles to be used by an insurer in measuring assets and liabilities.

(8) An insurer must not derecognise an insurance liability (or a part of an insurance liability) until the obligation giving rise to the liability expires or is discharged or cancelled.

(9) For the avoidance of doubt, if reinsurance covering the liability (or part of the liability) is purchased, the liability must not be derecognised unless the purchase results in the discharge or cancellation of the obligation giving rise to the liability.

(10) In calculating the present value of an insurance liability, the discount rate must be a prudent estimate of the yield expected to be earned by assets of the insurer that are sufficient in value and appropriate in nature to cover the provisions for the liability being discounted.

(11) Where this Chapter requires an insurer—

(a) to recognise as a liability the value of expected future payments, that liability must be measured as the net present value of those expected future payments;

(b) carrying on general insurance business to recognise as an asset the value of expected future receipts, that asset must be measured as the net present value of those expected future receipts.

Treatment of particular assets and liabilities-General insurance business

50. An insurer carrying on general insurance business must—

(a) recognise as a liability the value of future claims payments and associated direct and indirect settlement costs, arising from future events insured under policies that are in force as at the solvency reference date (premium liability);

(b) recognise as a liability the value of future claims payments and associated direct and indirect settlement costs, arising from insured events that have occurred as at the solvency reference date;

(c) recognise as an asset the value of reinsurance and other recoveries expected to be received in respect of claims referred to in paragraphs (a) and (b).

Treatment of particular assets and liabilities - long-term insurance

51. (1) An insurer carrying on long-term insurance business must—

(a) recognise as a liability the amount of policy benefits that are due for payment on or before the solvency reference date;

(b) recognise as a liability the net value of future policy benefits under policies that are in force as at the solvency reference date, taking into account all prospective liabilities as determined by the policy conditions for each existing contract, and taking credit for premiums payable after the solvency reference date.

(2) In measuring the liability associated with future policy benefits, an insurer carrying on long-term insurance business must—

(a) Use actuarial principles;

(b) provide for all liabilities based on assumptions that meet the general requirements for prudent assumptions in section 49(4), including appropriate margins for adverse deviation of relevant factors that are sufficient to ensure that there is no significant foreseeable risk that liabilities to policyholders for long-term insurance contracts will not be met as they fall due; and

(c) take into account—

(i) all guaranteed policy benefits, including guaranteed surrender values;

(ii) vested, declared or allotted bonuses to which policyholders are already either collectively or individually contractually entitled;

(iii) all options available to the policyholder under the terms of the contract;

(iv) discretionary charges and deductions from policy benefits, insofar as they do not exceed the reasonable expectations of policyholders;

(v) expenses, including commissions; and

(vi) any rights under contracts of reinsurance in respect of long-term insurance business.

(3) An insurer carrying on long-term insurance business must not value its mathematical reserves for a long-term insurance contract at less than zero unless—

(a) the calculation is based on assumptions that meet the general requirements for prudent assumptions in section 49(4);

(b) the contract does not have a guaranteed surrender value at the actuarial valuation date; and

(c) the total mathematical reserves established by the Insurer have a value of at least—

(i) if the Insurer's long-term insurance contracts include a linked long-term contract, the sum of

the surrender values of all its linked long-term contracts at the actuarial valuation date; and

(ii) in any other case, zero.

PART IX

Actuarial Reporting

Insurers that are required to have actuaries

52. (1) In this section—

"next annual return date for an insurer" means the date on which the insurer must give its next annual prudential return to the Centre in terms of section 76.

(2) This section shall apply to an insurer that is required in terms of this Chapter to have an actuary.

(3) An actuary for the insurer must annually carry out an actuarial investigation to enable him or her to prepare a report about the insurer's financial condition.

(4) The insurer must ensure that the actuary is given appropriate access (that is, such access as the actuary reasonably believes to be necessary to prepare the report) to—

(a) all relevant data, information, reports and staff of the insurer; and

(b) so far as possible, any contractor of the insurer.

(5) The actuary must—

(a) prepare, sign and date the report; and

(b) give the report to the insurer sufficiently in advance of the insurer's next annual return date to allow the insurer's governing body a reasonable opportunity to consider and use it in preparing the insurer's next annual prudential return.

(6) The insurer's governing body must submit a copy of the report to the Centre on or before the insurer's next annual return date.

(7) A report about the insurer's financial condition referred to in subsection (3) must set out an objective assessment of the overall financial condition of the insurer concerned.

(8) For an insurer conducting long-term insurance business, such a report must include an objective assessment of the financial condition of each long-term insurance fund established by the insurer.

(9) In preparing a report about the insurer's financial condition, an actuary must act in accordance with the relevant professional actuarial standards, and must use appropriate actuarial valuation principles, techniques and methodologies.

(10) The actuary must ensure that, so far as relevant, the report covers at least the following matters—

(a) an overview of the insurer's business;

(b) an assessment of the insurer's recent experience and profitability, including the experience during the year ending on the valuation date;

(c) an assessment of the value of the insurer's insurance liabilities that fall within section 51 (1) and (2);

(d) for an insurer to which subsection (11) applies, an assessment of the value of the insurer's insurance liabilities that fall within section 50 (1) and (2) using the relevant professional actuarial standards and appropriate actuarial valuation principles, techniques and methodologies;

(e) an assessment of whether the insurer's past estimates of the liabilities referred to in paragraphs (c) and (d) were adequate, especially if there has been a change in the assumptions or the valuation method from that adopted at the previous valuation;

(f) an explanation, in relation to the valuation of those liabilities, of—

(i) the assumptions used in the valuation process;

(ii) the adequacy and appropriateness of data made available to the actuary by the insurer;

(iii) how the actuary assessed the reliability of the data;

(iv) the model or models used by the approved actuary;

(v) the approach taken to estimate the variability of the estimate; and

(vi) the sensitivity analyses undertaken;

(g) a determination of the value of the surplus in each long-term insurance fund established by the insurer;

(h) an assessment of asset and liability management, including the Insurer's investment strategy;

(i) an assessment of the Insurer's current and future capital adequacy and a discussion of its approach to capital management;

(j) an assessment of the Insurer's pricing, including the adequacy of its premiums;

(k) an assessment of the suitability and adequacy of the Insurer's reinsurance arrangements, including the documentation of those arrangements and the existence and impact of any limited risk transfer arrangements;

(l) an assessment of the suitability and adequacy of the Insurer's risk management policy.

(11) Subsections (7) to (13) shall apply to an insurer if it engages in general insurance business and—

(a) more than fifteen *per centum* of its gross outstanding liabilities are attributable to contracts of insurance for general insurance business in general insurance Categories 1 (accident) or 2 (sickness); or

(b) more than twenty *per centum* of its gross outstanding liabilities are attributable to contracts of insurance for general insurance business in general insurance Categories 10 (motor vehicle liability), 11 (aircraft liability), 12 (liability of ships), 13 (general liability), 14 (credit) or 15 (suretyship).

(12) The actuary—

(a) must consider the implications and outlook for the insurer of each matter mentioned in subsection (10); and

(b) if the implications for the insurer are adverse, must make recommendations to address the problem.

(13) A report about the insurer's financial condition for a branch must be prepared in relation to the insurer's operations in the Centre, but must take into account the financial position of the head office.

(14) The Centre may direct an insurer that the insurer's actuary is to prepare a report about the insurer's financial condition more frequently than referred to in subsection (3) if the Centre considers it necessary or desirable, for the prudential supervision of the insurer, to receive such a report more frequently.

(15) Where the Centre directs an insurer in accordance with subsection (14), the insurer must comply with such a directive.

Centre may direct an actuary to conduct special review

53. (1) The Centre may direct an insurer that the insurer's actuary—

(a) is to carry out a review of matters specified by the Centre relating to the insurer's operations, risk management or financial affairs; and

(b) is to prepare a report on the basis of the review referred to in paragraph (a).

(2) Where the Centre directs an insurer in accordance with subsection (1), the insurer must comply with such a directive.

(3) The insurer's actuary must give the report of a review referred to in subsection (1) simultaneously to the Centre and the insurer within three months of the date of the direction, unless the Centre, in writing, grants an extension of time.

(4) The insurer must bear the cost of the review referred to in subsection (1).

Insurers not required to have actuary

54. Sections 55 and 56 shall apply to an insurer that is not required to have an actuary.

Actuarial reporting requirements for general insurance business

55. (1) Subject to subsection (2), an insurer that conducts general insurance business must at least once every three years commission an independent actuary to report on its business.

(2) The governing body of an insurer that conducts general insurance business must, annually, consider whether to commission an independent actuary to report on its business.

(3) The independent actuary must possess the following—

(a) he or she must be an individual with appropriate formal qualifications and must be a member of a recognised professional body;

(b) he or she must have at least five years' relevant experience in providing actuarial services to insurers, either in the Centre or in other jurisdictions; and

(c) his or her experience must be sufficiently recent to ensure that he or she is familiar with current issues in the provision of such services to insurers.

(4) The independent actuary may satisfy the following criteria—

(a) that he or she does not exercise any controlled function or designated function for the insurer or a related body corporate (except a related body corporate that is a subsidiary of the insurer);

(b) that he or she is not an auditor for the insurer, an employee or director of an entity of which that auditor is an employee or director, or a partner of that auditor.

(5) An actuary who prepares an actuarial report for the purposes of subsections (1) and (2) must sign it.

(6) An insurer must give an actuary appropriate access (that is, such access as the actuary reasonably believes to be necessary to prepare the actuarial report) to—

(a) all relevant data, information, reports and staff of the insurer; and

(b) so far as possible, any contractor of the insurer.

(7) An actuarial report must give details, for each category of general insurance business that the insurer conducts, of the following matters—

(a) recent trends in the business;

(b) the actuary's estimate of the value of the insurance liabilities and assets arising in respect of those liabilities, determined in accordance with Part VIII (Valuation);

(c) if the assumptions or the valuation method used for that estimate differ from those adopted for the previous valuation of those assets and liabilities, the effect, as at the date on which the actuary signs the report, of those changes on the value of those liabilities and assets;

(d) the adequacy and appropriateness of the data that the Insurer made available to the actuary;

(e) the procedures that the actuary used to assess the reliability of that data;

(f) the model or models that the actuary used;

(g) the assumptions that the actuary used in the valuation process (including, without limitation, assumptions made as to inflation and discount rates, future expense rates and, if relevant, future investment income);

(h) how the actuary estimated the variability of the estimate;

(i) the nature and findings of sensitivity analyses that the actuary undertook.

(8) An insurer's governing body must give a copy of the signed report to the Centre on or before the date on which the insurer must give its next annual prudential return to the Centre in terms of section 76.

Additional powers of Centre to direct insurer to obtain actuarial report

56. (1) If at any time the Centre believes an insurer to which these regulations apply must obtain an actuarial report relating to the insurer's operations, risk management or financial affairs, it may direct the insurer to obtain the actuarial report at the insurer's expense.

(2) The insurer—

(a) must appoint, to prepare the actuarial report, an actuary who has the qualifications and criteria set out in section 55 (3) and (4), respectively; and

(b) must notify the Centre of the name, qualifications and experience of the actuary appointed.

(3) If the Centre is not satisfied that the actuary appointed by the insurer has the qualifications or satisfies the criteria referred to in section 55 (3) and (4), the Centre may direct the insurer to appoint an actuary nominated by the Centre to prepare the actuarial report.

(4) The insurer must submit the actuarial report to the Centre within three months of the direction, unless the Centre, in writing, allows an extension of time.

PART X

Insurers that are Members of Groups

Interpretation in Part X

57. (1) In this Part—

"group" means a group of entities which includes an entity (the 'first entity') and—

(a) any parent of the first entity; and

(b) any subsidiaries (direct or indirect) of the parent or parents in (a) or the first entity;

"loan" includes the extension of credit;

"standard quarter" means each three months ending on 31st March, 30th June, 30th September and 31st December.

Application of Part X

58. (1) This Part—

(a) shall apply to every insurer that is a member of a group;

(b) imposes additional requirements on an insurer that is a member of a group to ensure that the insurer—

(i) is capitalised adequately to protect itself against the risks arising from its membership of the group, and is otherwise protected against those risks;

(ii) can be properly supervised by the Centre;

(iii) the Insurer provides the Centre with information about the structure and financial position of the group; and

(iv) assesses the effect of, and notifies the Centre of, certain transactions within the group.

Group structure

59. (1) The structure of the insurer's group must be transparent and must not hinder the effective supervision of the insurer.

(2) The structure and risk profile of the group must not hinder the insurer's stability and solvency.

(3) The overall governance, high-level controls and reporting lines within the group must be clear so far as they affect the insurer.

(4) An insurer must not be subject to material control or influence from another group member that is exercised through informal or undocumented channels.

(5) There must be clear and certain protocols for the performance of functions for the Insurer at the group level.

Direction regarding capital resources

60. (1) An insurer must hold such additional capital as the Centre may direct (above the amount of capital that the insurer would otherwise be required by these regulations to hold) to cover risks arising because of its group membership.

(2) If the Centre directs an insurer to hold additional capital, the insurer must increase its capital by the amount directed by the Centre within such period as the Centre may specify.

(3) A direction under subsection (1) may specify that the additional capital is to take a particular form.

Intra-group transactions

61. (1) An insurer must ensure that any material transaction with another member of its group—

(a) is entered into on an 'arm's-length' basis; and

(b) is on fair and reasonable terms.

(2) The insurer must ensure that its books, accounts and records clearly and accurately disclose the nature and details of the transaction referred to in subsection (1), including any accounting information necessary to demonstrate that the terms were fair and reasonable.

Certain transactions to be inquired into by insurer's governing body

62. (1) An insurer must not enter into any of the following transactions unless its governing body is satisfied, after reasonable inquiry, that the transaction does not adversely affect the interests of policyholders—

(a) an intra-group transaction (including a sale, purchase, exchange, loan, guarantee or investment) the amount of which is three *per centum* (or more) of the insurer's eligible capital;

(b) a loan to a person not related to the insurer, if there is an agreement or understanding that the proceeds of the loan, or a substantial part of those proceeds, will be used to make loans to purchase assets of, or make investments in, another group member, and the amount of the loan is three *per centum* (or more) of the insurer's eligible capital;

(c) an intra-group reinsurance agreement, or a modification to such an agreement, if the reinsurance premium or change in the Insurer's liabilities is five *per centum* (or more) of the insurer's eligible capital;

(d) a reinsurance agreement, or a modification to such an agreement, involving the transfer of assets from the Insurer to a person not related to it, if—

(i) there is an agreement or understanding between the Insurer and that person that any part of the assets will be transferred to one or more other persons related to the insurer; and

(ii) the reinsurance premium or change in the Insurer's liabilities is five *per centum* (or more) of the insurer's eligible capital;

(e) an intra-group management agreement, service contract or cost-sharing arrangement.

(2) A reference in subsection (1) to an insurer's eligible capital is a reference to that capital as at the end of the last standard quarter before the relevant transaction.

(3) An insurer's governing body may delegate its responsibility under subsection (1) to the insurer's senior management if the insurer's risk management strategy and internal control framework permit the governing body to do so.

Specific obligations of group members

63. (1) If an insurer is a member of a group, the insurer's senior management must monitor any functions performed for the insurer at the group level.

(2) The insurer's senior management should establish and maintain procedures and controls to identify and monitor the effect on the insurer of its relationship with the other members of the group and the activities of those other members.

(3) The procedures and controls shall include procedures to monitor—

(a) changes in relationships between group members;

(b) changes in the activities of group members;

(c) conflicts of interest arising within the group;

(d) events in the group, particularly those that might affect the Insurer's own regulatory compliance (which may include any failure of control or compliance in another group member);

(e) the effect on the insurer of—

(i) its relationship with the other members of the group;

(ii) its membership in the group; and

(iii) the activities of the other members of the group; and

(f) the group's compliance with—

(i) the supervision requirements applicable to it, including systems for the production of relevant data; and

(ii) group reporting requirements.

(4) The insurer must have procedures to protect it, so far as practicable, from the adverse effects of other group activities (that may include transfer pricing or fronting) or group events that might expose the insurer to risk.

(5) The insurer's senior management shall take reasonable steps to ensure that—

(a) other group members are aware of the insurer's management and reporting obligations in relation to group risk;

(b) group capital and group risk reporting requirements are complied with; and

(c) information about the group provided to the Centre is accurate and is provided in a timely manner.

PART XI

Transfer of Insurance Business

Interpretation in Part XI

64. In this Part—

"insurance business transfer scheme" means a scheme for the transfer of all or part of an insurer's insurance business.

Requirement for order of Administrative Tribunal

65. No insurance business transfer scheme shall have effect unless the Administrative Tribunal has made an order sanctioning the scheme (a sanction order).

Application for sanction order

66. (1) An application for a sanction order must be made by—

(a) whichever of the transferor or transferee concerned is an insurer; or

(b) both transferor and transferee, if both are insurers.

(2) Subject to such directions as the Centre may give, the applicant for a sanction order must ensure that—

(a) an application for a sanction order must be accompanied by—

(i) a written report on the terms of the scheme (the scheme report) that complies with section 67 (2); and

(ii) a written summary of the scheme (the scheme summary) that complies with section 68;

(b) notice of the application for the sanction order is given to every policyholder who is affected by the scheme, in accordance with section 69 (1) and (2); and

(c) notice of the application for the sanction order is published in accordance with section 69 (3) and (4).

Scheme report

67. (1) A scheme report shall be made by a person—

(a) appearing to the Centre to have the skills necessary to enable him or her to make a proper report; and

(b) nominated or approved for the purpose, in writing, by the Centre.

(2) A scheme report must—

(a) be in a form approved by the Centre;

(b) include a reasoned opinion as to whether the scheme (if it is sanctioned by the Administrative Tribunal) is expected to have any material adverse impact on any of the policyholders of the transferor or the transferee; and

(c) include a reasoned conclusion as to whether (if the scheme is sanctioned by the Administrative Tribunal)

each insurer concerned with the scheme (whether as transferee or as transferor) will, taking the scheme into account, comply with this Part.

Scheme Summary

68. A scheme summary must—

(a) contain sufficient information, in a language that is clear, fair and not misleading, to enable policyholders to understand how they may be affected if the scheme is sanctioned by the Administrative Tribunal;

(b) be prepared or approved by the person referred to in section 67 (1); and

(c) be approved by the Centre.

Notice given to policyholders

69. (1) An applicant for a sanction order must give notice to policyholders, and such notice must include the following—

(a) details of the place or places and times at which and the period during which an affected policyholder may obtain a copy of the scheme and any associated documentation; and

(b) the scheme summary referred to section 68.

(2) The notice period referred to in subsection (1) must be not less than thirty days, or such other period as the Centre may direct in writing.

(3) An applicant for a sanction order must publish the notice of the application for the sanction order—

(a) not less than three months (or such other period as the Centre may direct in writing) before the period at which the Administrative Tribunal may determine the application for a sanction order; and

(b) in two national papers in Zimbabwe, or in such other publications as the Centre may direct in writing.

(4) The notice must be approved by the Centre before publication.

PART XII

Insurers in Run-Off

Interpretation and application of Part XII

70. (1) In this part—

"an insurer in run-off" means an insurer that has ceased to effect contracts of insurance in respect of the whole or a category of its insurance business (or, in the case of a branch, the whole or a category of its Centre insurance business), and a long-term insurance fund in run-off is construed accordingly; and

"going into run-off or placing insurance business into run-off" means ceasing to effect contracts of insurance and placing a long-term insurance fund into run-off is construed accordingly.

(2) This Part shall apply to—

(a) every insurer; and

(b) every branch in respect of its insurance business operations.

Compliance by insurer directed to go into run-off

71. (1) An insurer in run-off by virtue of a decision or notice of the Centre to the effect that the insurer is to cease to effect contracts of insurance shall comply with this Part except to the extent the Centre, acting under its powers in the Banking (Victoria Falls International Financial Services Centre) (General) Regulations, 2026, directs otherwise.

(2) For the purposes of this Part, in determining whether an insurer is effecting contracts of insurance or has ceased to effect contracts of insurance, including contracts of insurance effected through a long-term insurance fund, contracts of insurance effected under a term of an existing contract of insurance will not be considered unless the Centre decides otherwise in respect of any particular contract.

Insurers ceasing to effect contracts of insurance in category

72. (1) This section shall apply to an insurer that ceases or decides to cease to effect new contracts of insurance or to renew contracts of insurance—

(a) in a category in which the insurer has previously effected insurance business; or

(b) in respect of a long-term insurance fund, in a category in which the Insurer has previously effected insurance business through that long-term insurance fund.

(2) An insurer to which this section applies must, within thirty calendar days of a decision to cease to effect new contracts of insurance in a category, notify the Centre of its decision, in a notice specifying the following details—

(a) the effective date of the decision to cease effecting contracts of insurance;

(b) the category to which the decision relates; and

(c) where relevant, the long-term insurance fund to which the decision relates.

(3) An insurer who has provided a notice to the Centre in terms of subsection (2) must not effect any contracts of insurance in that category without the written permission of the Centre.

(4) Where the notice referred to in subsection (2) relates to a long-term insurance fund of the Insurer, the restriction set out in this section applies only to that long-term insurance fund.

Run-off plans

73. (1) This section shall apply to—

(a) insurers that go into, or are in, run-off, or that maintain long-term insurance funds that are in run-off;

(b) insurers that decide to go into run-off or to place a long-term insurance fund into run-off; and

(c) insurers whose licence to effect contracts of insurance in respect of their entire insurance business or in respect of the entire business of a long-term insurance fund is withdrawn by the Centre.

(2) If an insurer decides to go into run-off or to place a long-term insurance fund into run-off, the insurer must, at the same time as the notice referred to in section 72 (2), provide the Centre with a written run-off plan in respect of the insurance business being placed into run-off.

(3) If the Centre withdraws an insurer's licence to effect contracts of insurance in respect of the insurer's whole, or a category of, insurance business or the whole, or a category of, insurance business of a long-term insurance fund, the insurer must, within thirty calendar days after the day the insurer is given the written notice of withdrawal of its licence (or, if later, the period specified in that notice), provide the Centre with a written run-off plan in respect of that insurance business.

(4) An insurer must ensure a run-off plan provided to the Centre in accordance with this Part covers the period until all liabilities to policyholders relating to the insurance business in run-off are met and includes—

(a) an explanation of how, or the extent to which, all liabilities to policyholders will be met in full as they fall due;

(b) an explanation of how, or the extent to which, the insurer will maintain its compliance with the requirements of these regulations until such time as all liabilities to policyholders are met;

(c) a description, appropriate to the scale and complexity of the insurer's business, of the insurer's business strategy;

(d) financial projections showing, in a form appropriate to the scale and complexity of the insurer's operations, the forecast financial position of the Insurer as at the end of each reporting period during the period to which the run-off plan relates;

(e) an assessment of the sensitivity of the financial position of the insurer to stress arising from realistic scenarios relevant to the circumstances of the insurer;

(f) details of the planned run-off reinsurance protections and the extent to which the planned reinsurance protections match the run-off realistic scenarios;

(g) details of the claims handling and reserving strategy; and

(h) details of the cost of the management of the run-off.

(5) Where an insurer's insurance business in run-off relates to a long-term insurance fund of that Insurer, the run-off plan must deal with the matters set out in subsection (4) so far as they relate to that long-term insurance fund.

(6) Where an insurer gives a run-off plan to the Centre—

(a) the insurer must monitor the matters provided in the run-off plan; and

(b) if there is a significant departure from the run-off plan, the insurer must notify the Centre immediately, but by no later than the second business day after the day the departure happens or starts.

(7) Where an insurer has notified a matter to the Centre in accordance with subsection (6), the Centre may, by notice in writing, require the insurer to provide an amended run-off plan within thirty days of receipt of the notice, unless the notice specifies a longer period.

Provisions in respect of contracts relating to insurance business in run-off

74. (1) In this section—

"notifiable contract" means—

(a) a contract with a person related to the insurer, other than a contract of insurance effected by the insurer before going into run-off;

(b) a contract with any person relating to the management of all or any of the insurance business in run-off;

(c) a contract with any person for reinsurance of all or any of the insurance business in run-off; or

(d) any other contract with a person mentioned in paragraph (b) or (c) or a person related to such a person.

(2) This section shall only apply to an insurer that—

(a) is in run-off in relation to its entire insurance business or the entire insurance business of a long-term insurance fund;

(b) has provided a notice to the Centre in accordance with section 72 (2) in respect of its entire insurance business or the entire insurance business of a long-term insurance fund; or

(c) has received a written notice from the Centre withdrawing the Insurer's licence to effect contracts of insurance in respect of its entire insurance business or the entire insurance business of a long-term insurance fund.

(3) An insurer with business in run-off must notify the Centre—

(a) within ten business days after the day its insurance business enters into run-off, about the existence and principal features of any notifiable contract that existed at the time the business entered into run-off; and

(b) within ten business days after the day it enters into a notifiable contract in relation to its insurance business in runoff, notify the Centre about the existence and principal features of the contract.

(4) For the avoidance of doubt, subsection (3) (b) shall apply whether or not the insurance business is conducted through a long-term insurance fund that is in run-off.

Limitations on distributions by insurers in run-off

75. (1) An insurer in run-off must not make any distribution to shareholders or members of the insurer, whether by way of dividends or otherwise, or any payment of management fees (other than fees payable under a contract notified to the Centre in terms of section 74 without the written consent of the Centre.

(2) Any distribution or return of capital or payment of management fees, if any, must be made within the period specified in the written notice of consent given by the Centre.

PART XIII

Prudential Returns

Obligation to prepare prudential returns

76. (1) In this section—

(a) standard biannual period means the six months ending on 30th June or 31st December; and

(b) standard quarter means the three months ending on 31st March, 30th June, 30th September or 31st December.

(2) An insurer must prepare and submit to the Centre the annual, biannual and quarterly prudential returns set out in the Sixth Schedule.

(3) The Centre may, by notice given to an insurer, require the insurer to prepare additional prudential returns.

(4) An insurer must give—

(a) an annual prudential return to the Centre within four months after the day of the relevant financial year of the insurer ends;

(b) a biannual prudential return to the Centre within thirty days after the day the relevant standard biannual period ends;

(c) a quarterly prudential return to the Centre within thirty days after the day the relevant standard quarter ends.

(5) When an insurer submits its annual prudential returns to the Centre, such returns must be accompanied by an external audit opinion.

PART XIV

Captive Insurers

Interpretation of Part XIV

77. In this Part—

"captive insurer" means an authorised firm with a licence to carry on insurance business as a Class 1, Class 2 or Class 3 Captive insurer;

"captive insurance business" means the business of effecting or carrying out contracts of insurance as a Class 1, Class 2 or Class 3 Captive insurer;

"general captive insurance business" means captive insurance business in relation to general insurance contracts;

"long-term captive insurance business" means captive insurance business in relation to long-term insurance contracts.

Classification of captive insurer

78. (1) A Class 1 Captive insurer is a Captive insurer that is permitted under the conditions of its authorisation to effect or carry out contracts of insurance only for risks related to or arising out of the business or operations of the group to which the insurer belongs.

(2) A Class 2 Captive insurer is a Captive insurer that is permitted under the conditions of its authorisation to obtain no more than twenty *per centum* of its gross written premium from third-party risks arising from business or operations that are closely linked to the business or operations of the group to which the insurer belongs.

(3) A Class 3 Captive insurer is an insurer that—

(a) is permitted under the conditions of its authorisation to effect or carry out contracts of insurance only for risks related to or arising out of the business or operations of persons who engage in similar, related or common—

(i) businesses; or

(ii) activities; or

(iii) trade; or

(iv) services; or

(v) operations; and

(b) is owned by the persons mentioned in paragraph (a)(i) or by a body corporate of which all such persons are members, such as group captives.

Captive insurer to be incorporated in Centre

79. (1) An authorised firm which is incorporated under the laws of the Centre may apply to the Centre for a licence to conduct captive insurance business.

(2) The application for a licence shall be made in terms of the Banking (Victoria Falls International Financial Services Centre) (General) Regulations, 2026.

(3) A Captive insurer may either be self-managed or managed by an insurance manager authorised by the Centre.

Protected cell companies

80. (1) Subject to subsection (2), a protected cell company may not carry on insurance business.

(2) An authorised firm which is a protected cell company incorporated under the Banking (Victoria Falls International Financial Services Centre) (Companies) Regulations, 2026, may apply to the Centre for a licence to conduct captive insurance business.

(3) A captive insurer that is a protected cell company must—

(a) not create a cell without the written consent of the Centre;

(b) ensure that, when it conducts captive insurance business, each contract of insurance is attributable to a particular cell of the captive insurer;

(c) not conduct both general captive insurance business and long-term captive insurance business through the same cell.

Application of certain provisions of regulations to captive insurers

81. (1) Subject to subsection (2), a captive Insurer must comply with the requirements of section 10.

(2) A captive insurer—

(a) may appoint an insurance manager authorised by the Centre to perform the controlled function of senior executive officer, provided that such employee is an individual approved by the Centre and the designated function of money laundering reporting officer;

(b) must comply with Part III (Risk Management Strategy) in full;

(c) must comply with Part IV (Own Risk and Solvency Assessment).

(3) Subject to sections 82 to 85, a captive insurer must comply with the requirements of Part V (Capital adequacy requirements).

(4) A captive insurer must comply with Part VI (Investment).

(5) A captive insurer carrying on long-term captive insurance business must comply with Part VII (Segregation of long-term insurance assets and liabilities).

(6) A captive insurer must comply with—

(a) Part VIII (Valuation);

(b) Part IX (Actuarial reporting);

(c) Part X (Insurers that are members of Groups);

(d) Part XI (Transfer of insurance business);

(e) Part XII (Insurers in run-off).

(7) Subject to subsection (6) (e), a captive insurer must comply with Part XIII (Prudential Returns).

(8) Unless required otherwise by the Centre in writing, a Class 1 captive insurer may submit prudential returns semi-annually instead of quarterly as stated in the Sixth Schedule.

Capital adequacy-minimum capital requirement for captive insurer

82. (1) For the purposes of the Fourth Schedule, the capital floor for a captive insurer is the highest of the following—

(a) the base capital requirement;

(b) the premium risk component; or

(c) the technical provision risk component.

(2) The base capital requirement for a captive insurer shall be—

(a) United States one hundred thousand ($100,000) for a Class 1 Captive insurer;

(b) United States two hundred thousand ($200,000) for a Class 2 Captive insurer;

(c) United States three hundred thousand ($300,000) for a Class 3 Captive insurer.

(3) The premium risk component for Class 1, Class 2 or Class 3 captive insurers conducting general insurance business or life insurance business is the amount calculated in accordance with the following formula—

[18% x firm's net written premium up to US$ 5 million]
+
[16% x firm's net written premium in excess of US$ 5 million].

(4) The technical provision risk component for a Captive Insurer shall be—

(a) the technical provision risk component for Class 1, Class 2 or Class 3 Captive Insurers conducting general insurance business is the amount calculated in accordance with the following formula—

[5% x firm's net claims reserve under general Contracts of Insurance]
–
[15% x the amount of firm's reinsurance and other recoveries expected to be received in respect of those claims];

(b) the technical provision risk component for Class 1, Class 2, or Class 3 Captive Insurers conducting long-term insurance business is the amount calculated in accordance with the following formula—

[2.5% x Policyholder liabilities calculated using actuarial methods for long-term insurance].

Capital adequacy-minimum capital requirement for protected cell company

83. (1) Subject to subsection (2), each cell of a protected cell company must calculate its minimum capital requirement in accordance with section 26 (1) (b) as if it were a stand-alone Insurer.

(2) For a captive insurer that is a protected cell company, the capital floor shall only apply to the overall protected cell company, and there is no capital floor for each cell or the core.

Prescribed capital requirement for a protected cell company

84. (1) Class 1, Class 2 and Class 3 Captive insurers are not required to calculate the prescribed capital requirement.

(2) For a protected cell company, each cell of a protected cell company must calculate its prescribed capital requirement in accordance with section 26 (2) as if it were a stand-alone insurer.

Eligible capital of protected cell company

85. (1) Every cell of a protected cell company must calculate its eligible capital in accordance with section 26 (1) (a).

(2) The core of a protected cell company must calculate its eligible capital in accordance with section 26 (1) (a).

(3) In calculating its eligible capital, a cell may only rely upon non-cellular assets where it has entered into a recourse agreement with the core pursuant to which it is entitled to rely upon such non-cellular assets.

(4) The core of a protected cell company must not enter into a recourse agreement with a cell where the total capital thereby made available to cells of the protected cell company would exceed the eligible capital of the core.

CHAPTER III

PART I

Prudential Requirements for Insurance Intermediaries and Insurance Managers

Interpretation of Chapter III

86. In this Chapter—

"authorised firm" shall be used where the provisions of this Chapter apply to both insurance intermediaries and insurance managers;

"annual income of an authorised firm" means the income of the authorised firm arising from its insurance intermediation or insurance management activities, but excluding premiums received from clients which are due to be paid on to the insurance producer provider.

Application of Chapter III

87. (1) This Chapter shall apply to insurance intermediaries and insurance managers.

(2) If an insurance intermediary holds both an authorisation to carry on insurance mediation and an authorisation to carry on prudential investment business or other non-prudential investment business, it will be subject to the provisions of this Chapter in relation to the whole of its business, including its prudential investment business and other non-prudential investment business. However, the Centre may direct that the insurance intermediary will be deemed to satisfy—

(a) some or all provisions of this Chapter where it satisfies the rules that apply to it by reason of the authorisation to carry on prudential investment business or other non-prudential investment business; or

(b) some or all provisions of this Chapter that apply to it by reason of the authorisation to carry on prudential investment business or other non-prudential investment business where it satisfies the provisions of this Chapter.

(3) Where an authorised firm is also regulated by another financial services regulator (in addition to being regulated by the Centre), it must comply with this Chapter and with the rules of any other financial services regulator, in each case to the extent applicable.

PART II

General Financial Resources Requirements

Governing body's responsibilities

88. (1) An authorised firm's governing body must consider whether the minimum capital resources and professional indemnity insurance required in terms of this Chapter are adequate to ensure that there is no significant risk that the firm's liabilities cannot be met as they fall due.

(2) Where the authorised firm's governing body considers that the minimum capital resources and professional indemnity insurance required do not adequately reflect the risks of its business, the firm must obtain additional capital resources and professional indemnity insurance.

(3) The governing body shall be responsible for—

(a) ensuring that the management of the firm's financial resources (including the firm's capital resources, liquid assets and professional indemnity insurance) is part of the firm's overall risk management, and is aligned with the nature, scale and complexity of its business and its risk profile;

(b) ensuring that the firm complies with this Chapter; and

(c) monitoring the adequacy and appropriateness of the firm's systems and controls, and the firm's compliance with those systems and controls.

Systems and controls

89. (1) An authorised firm must have adequate systems and controls to enable it to calculate and monitor its capital resources, liquid assets and professional indemnity insurance, and monitor its compliance with the requirements of this Chapter.

(2) The systems and controls must—

(a) be in writing and must be appropriate for the nature, scale and complexity of the firm's business and its risk profile;

(b) must enable the firm to always demonstrate its compliance with this Chapter; and

(c) enable the firm to manage its capital resources, liquid assets and professional indemnity insurance in anticipation of events or changes in market conditions.

Financial resources

90. (1) An authorised firm must always have—

(a) capital resources and professional indemnity insurance of at least the minimum kinds and amounts required by, and calculated in accordance with, this Chapter;

(b) sufficient liquid assets; and

(c) capital resources and professional indemnity insurance (including those required by paragraph (a), that are

adequate in relation to the nature, scale and complexity of its business and its risk profile to ensure that there is no significant risk that its liabilities cannot be met as they fall due.

(2) If the Centre is not satisfied that an authorised firm is in compliance with subsection (1) (a) and (b), it may impose a requirement on that authorised firm to hold additional amounts of capital resources, liquid assets and professional indemnity insurance, and the authorised firm must comply with that requirement.

PART III

MINIMUM CAPITAL REQUIREMENT

References to capital resources

91. (1) In this Chapter, capital resources must be calculated as the sum of the following capital elements, subject to deductions listed in subsection (2)—

(a) the ordinary equity shares capital of the authorised firm, to the extent fully paid up;

(b) share premium accounts related to the equity share capital referred to in paragraph (a); and

(c) any retained earnings and reserves created out of earnings of past periods of the authorised firm, and accumulated other comprehensive income, as defined in the IFRS, to the extent shown in its audited financial statements and accounts.

(2) In determining its capital resources, an authorised firm must deduct the following items from the sum of the capital elements in subsection (1)—

(a) any interim losses incurred by the authorised firm in the current financial year, irrespective of whether shown in audited financial statements and accounts;

(b) each of the following, to the extent that its value contributes to the sum of the capital elements in subsection (1)—

(i) goodwill and other intangible assets as defined in the IFRS;

(ii) tangible fixed assets, including equipment and vehicles;

(iii) deferred tax assets that rely on future profitability;

(iv) defined benefit pension fund assets of the authorised firm;

(v) investments by the authorised firm or by any of its subsidiaries in the authorised firm's own shares;

(vi) holdings of equity shares of affiliates or related persons which give rise to a reciprocal cross-holding with the authorised firm, which has the effect of artificially inflating the capital resources of the authorised firm;

(vii) holdings of other investments and assets that are not readily realisable into cash; and

(viii) any amount to be deducted from capital resources as directed by the Centre.

Minimum capital requirements for authorised firm

92. (1) Subject to section 100, an authorised firm must always have and maintain capital resources of an amount not less than its minimum capital requirement.

(2) The minimum capital requirement—

(a) for an insurance intermediary that is not permitted to hold client money, is the greater of—

(i) seven thousand (7 000) United States dollars; and

(ii) two point five *per centum* of the annual income of the insurance intermediary;

(b) for an insurance intermediary that is permitted to hold client money, is the greater of—

(i) Thirteen Thousand (13 000) United States Dollars; and

(ii) five *per centum* of the annual income of the insurance intermediary;

(c) for an insurance manager that is not permitted to hold client money, is the greater of—

(i) Seven Thousand (7 000) United States Dollars; and

(ii) two point five *per centum* of the annual income of the insurance manager;

(d) for an insurance manager that is permitted to hold client money, is the greater of—

(i) Thirteen Thousand (13 000) United States Dollars; and

(ii) five *per centum* of the annual income of the insurance manager.

(3) The annual income shall be assessed—

(a) by reference to the authorised firm's most recent annual financial statements; or

(b) in the case of an authorised firm whose most recent financial statements do not represent a full financial year as an authorised firm, by reference to the business plan of the authorised firm submitted as part of its application for authorisation as an authorised firm.

PART IV

Professional Indemnity Insurance

Firms must take out and maintain professional indemnity insurance

93. (1) Subject to subsection (2), an authorised firm must take out and maintain professional indemnity insurance cover that is appropriate to the nature, scale, complexity and risk profile of its business and activities in accordance with this Part.

(2) An authorised firm need not take out or maintain professional indemnity insurance if the Centre gives written approval for some other form of financial protection, such as a guarantee provided by another authorised firm, that the Centre considers providing at least the same financial strength and legal certainty as professional indemnity insurance otherwise required under this Part.

Persons suitable to provide professional indemnity insurance

94. (1) Before an authorised firm takes out or renews a professional indemnity insurance policy with an insurer, the insurance intermediary must be satisfied, on reasonable grounds after conducting an appropriate assessment, that the insurer is a suitable person to provide the insurance policy to the insurance intermediary and that the insurer is financially sound and capable to meet any liabilities related to claims.

(2) If, at any time after the authorised firm has taken out or renewed a professional indemnity insurance policy with an insurer, the Centre considers that the insurer is, or is likely to become, unsuitable to provide the insurance policy, the Centre may, by written notice given to the authorised firm, require the authorised firm to cancel the insurance policy and take out equivalent professional indemnity insurance with another insurer in accordance with this section.

(3) If the authorised firm is given a notice under subsection (2), the authorised firm must comply with the notice within—

(a) the time stated in the notice; or

(b) if the Centre allows additional time to comply with the notice, the additional time.

Requirements for professional indemnity insurance policies

95. (1) A professional indemnity insurance policy taken out or renewed by an authorised firm for this Part must make provision for—

(a) an appropriate level of cover in relation to claims for which the authorised firm may be liable as a result of its conduct or the conduct of its employees and agents, taking into account the aggregate limit of indemnity, the limit of indemnity for individual claims, the excess that applies in relation to any individual claim under the policy, and the extent to which the benefit of the policy is shared with any other entity;

(b) appropriate cover in relation to legal defence costs;

(c) continuous cover for claims arising from work carried out from when the authorised firm was authorised to conduct insurance intermediation or insurance management in or from the Centre; and

(d) awards made against the authorised firm under any applicable consumer protection authority.

(2) The authorised firm must not take out professional indemnity insurance that makes provision for the payment of fines imposed by the Centre.

PART V

Reporting and Notification Requirements

Preparing returns

96. (1) An authorised firm must submit quarterly and annual prudential returns to the Centre using the templates prescribed for this purpose by the Centre from time to time.

(2) Annual prudential returns of an authorised firm must contain a certification by the same auditor that is responsible for auditing the authorised firm's annual financial statements. The certification must relate to the annual prudential returns and each set of unaudited quarterly returns that have been submitted to the Centre by the prudential investment firm in the previous year.

Signing returns

97. (1) A prudential return must be signed by two individuals, and in each case—

(a) one of those individuals must be the individual approved to exercise the finance officer function; and

(b) the other individual must be either the individual approved to exercise the senior executive officer function for the authorised firm or one of the individuals approved to exercise the director function for the authorised firm.

(2) In subsection (1) (b), senior executive officer function and director function have the same meanings as in the Banking (Victoria Falls International Financial Services Centre (General) Regulations, 2026.

Reductions in paid-up share capital and other capital instruments

98. An authorised firm must not reduce its paid-up share capital or repay or redeem any part of any capital instrument the liabilities under which are included in its capital resources in accordance with Part II (Minimum capital requirement) of Chapter I, without the Centre's written approval.

Breaches of Chapter

99. If an authorised firm becomes aware, or has reasonable grounds to believe, that it is or may be (or may be about to be) in breach of any of the provisions of this Chapter, it must—

(a) notify the Centre in writing about the breach and the relevant circumstances immediately and not later than within one business day; and

(b) not make any cash transfers or payments or transfer of liquid assets to its affiliates or related persons, whether by way of dividends or otherwise, without the Centre's written permission;

(c) in dealing with any breach, or possible breach, of this Chapter, the Centre's primary concern must be the interests of existing and prospective policyholders and clients.

PART VI

General Provisions

Operation of branches of participants

100. (1) Where a branch of an insurer, insurance intermediary or insurance manager incorporated outside the Centre intends to be licensed to carry on business within the Centre, the requirement for capital adequacy in terms of these regulations shall not apply:

Provided that the Centre shall have an agreement with the regulator of the Participant in question in relation to capital adequacy requirements and any other regulatory infringements.

(2) Notwithstanding subsection (1), the Centre may require a branch to have capital resources or to comply with any other capital requirement if the Centre considers it necessary or desirable to do so in the interest of effective supervision of the branch.

FIRST SCHEDULE (*sections 2, 4(1), (3)*)

CATEGORIES OF GENERAL INSURANCE

A Contract of insurance will be a general insurance contract if it falls within one or more of the following categories—

1. General Insurance Category 1: Accident

Contracts of insurance providing fixed pecuniary benefits or benefits in the nature of indemnity (or a combination of both) against risks of the person insured—

(a) sustaining injury as the result of an accident or of an accident of a specified class;

(b) dying as a result of an accident or of an accident of a specified class; or

(c) becoming incapacitated in consequence of disease or of disease of a specified class, including contracts relating to industrial injury and occupational disease but excluding contracts falling within long-term insurance Category 4 (Permanent health).

2. General Insurance Category 2: Sickness

Contracts of insurance providing fixed pecuniary benefits or benefits in the nature of indemnity (or a combination of both) against risks of loss to the persons insured attributable to sickness or infirmity but excluding contracts falling within long-term insurance Category 4 (Permanent health).

3. General Insurance Category 3: Land vehicles

Contracts of insurance against loss of or damage to vehicles used on land, including motor vehicles but excluding railway rolling stock.

4. General Insurance Category 4: Railway rolling stock

Contract of Insurance against loss of or damage to railway rolling stock.

5. General Insurance Category 5: Aircraft

Contracts of Insurance upon aircraft or upon the machinery, tackle, furniture or equipment of aircraft.

6. General Insurance Category 6: Ships

Contracts of insurance upon vessels used on the sea or on inland water, or upon the machinery, tackle, furniture or equipment of such vessels.

7. General Insurance Category 7: Goods in transit

Contracts of insurance against loss of or damage to merchandise, baggage and all other goods in transit, irrespective of the form of transport.

8. General Insurance Category 8: Fire and natural forces

Contracts of insurance against loss of or damage to property (other than property to which categories 3 to 7 relate) due to fire, explosion, storm, natural forces other than storm, nuclear energy or land subsidence.

9. General Insurance Category 9: Damage to property

Contracts of insurance against loss of or damage to property (other than property to which General Insurance Categories 3 to 7 relate) due to hail or frost or any other event (such as theft) other than those mentioned in General Insurance Category 8 (Fire and natural forces).

10. General Insurance Category 10: Motor vehicle liability

Contracts of insurance against damage arising out of or in connection with the use of motor vehicles on land, including third-party risks and carrier's liability.

11. General Insurance Category 11: Aircraft liability

Contracts of insurance against damage arising out of or in connection with the use of aircraft, including third-party risks and carrier's liability.

12. General Insurance Category 12: Liability of ships

Contracts of insurance against damage arising out of or in connection with the use of vessels on the sea or on inland water, including third party risks and carrier's liability.

13. General Insurance Category 13: General liability

Contracts of insurance against risks of the persons insured incurring liabilities to third parties, the risks in question not being risks to which General Insurance Categories 10, 11, 12 or 20 relate.

14. General Insurance Category 14: Credit

Contracts of insurance against risks of loss to the persons insured arising from the insolvency of their debtors or from the failure (otherwise than through insolvency) of their debtors to pay their debts when due.

15. General Insurance Category 15: Suretyship

(a) Contracts of insurance against the risks of loss to the persons insured arising from their having to perform contracts of guarantee entered into by them.

(b) Fidelity bonds, performance bonds, administration bonds, bail bonds or customs bonds or similar contracts of guarantee, where these are—

(i) effected or carried out by a person not carrying on the business of accepting deposits;

(ii) not effected merely incidentally to some other business carried on by the person effecting them; and

(iii) effected in return for the payment of one or more premiums.

16. General Insurance Category 16: Legal expenses

Contracts of insurance against risks of loss to the persons insured attributable to their incurring legal expenses (including costs of litigation).

17. General Insurance Category 17: Assistance

Contracts of insurance providing either or both of the following benefits, namely —

(a) assistance (whether in cash or in kind) for persons who get into difficulties while travelling, while away from home or while away from their permanent residence; or

(b) assistance (whether in cash or in kind) for persons who get into difficulties otherwise than as mentioned in sub-paragraph (a).

18. General Insurance Category 18: Space

Contracts of insurance against loss of or damage to spacecraft and space objects (including satellites).

19. General Insurance Category 19: Space liability

Contracts of insurance against damage arising out of or in connection with the use of spacecraft and space objects, including third-party risks and carrier's liability.

20. General Insurance Category 20: Miscellaneous financial loss

Contracts of Insurance against any of the following risks, namely—

(a) risks of loss to the persons insured attributable to interruptions of the carrying on of business carried on by them or to reduction of the scope of business so carried on;

(b) risks of loss to the persons insured attributable to their incurring unforeseen expense (other than loss such as is covered by contracts falling within General Insurance Category 17 (Assistance)); or

(c) risks which do not fall within sub-paragraph (a) or (b) and which are not of a kind such that contracts of insurance against them fall within any other General Insurance Category.

SECOND SCHEDULE (*sections 2, 4(1), (3)*)

CATEGORIES OF LONG-TERM INSURANCE

A contract of insurance will be a long-term insurance contract if it falls within one or more of the following categories—

1. Long-Term Insurance Category 1: Life and annuity

Contracts of insurance on human life or contracts to pay annuities on human life, but excluding (in each case) contracts within long term insurance Category 3.

2. Long-Term Insurance Category 2: Marriage and birth

Contract of insurance to provide a sum on marriage or on the birth of a child, being contracts expressed to be in effect for a period of more than one year.

3. Long-Term Insurance Category 3: Linked long-term

Contracts of insurance on human life or contracts to pay annuities on human life where the benefits are wholly or partly to be determined by reference to the value of, or the income from, property of any description (whether or not specified in the contracts) or by reference to fluctuations in, or in an index of, the value of property of any description (whether or not so specified).

4. Long-Term Insurance Category 3: Permanent health

Contracts of insurance providing specified benefits against risks of persons becoming incapacitated in consequence of sustaining injury as a result of an accident or of an accident of a specified class or of sickness or infirmity, being contracts that—

(a) are expressed to be in effect for a period of not less than five years, or until the normal retirement age for the persons concerned, or without limit of time; and

(b) either are not expressed to be terminable by the insurer or are expressed to be so terminable only in special circumstances mentioned in the contract.

THIRD SCHEDULE (*Section 26(aI, 36(1), (3)*)

CALCULATION OF ELIGIBLE CAPITAL

1. Application and purpose

This Schedule shall apply to every Insurer.

2. Calculation of eligible capital

(a) Calculating eligible capital

An insurer must calculate its eligible capital in accordance with the eligible capital calculation table in paragraph (b) and the provisions in this Schedule.

(b) Eligible capital calculation table.

The Eligible Capital Calculation Table is as follows—

(A) Tier 1 Capital:
Permanent Share Capital
Undistributable Reserves
Fund for future appropriations
(B) Deductions from Tier 1 Capital
Investments in own shares
Intangible assets
Interim net losses
(C) Tier 1 Capital after deductions = A-B
(D) Tier 2 Capital:
Perpetual qualifying hybrid capital instruments
Fixed dividend ordinary shares
Subordinated debt
Fixed term preference shares
Any other item approved for inclusion as Tier 2 Capital at the discretion of the Centre
(E) Total Tier 1 Capital plus Tier 2 Capital = C+D
(F) Deductions from Total of Tier 1 and Tier 2 Capital:

3. Components of Tier 1 Capital

(a) Permanent share capital

Permanent share capital means ordinary paid-up share capital, or equivalent however called, which meets the following conditions:

(i) it is fully paid up;

(ii) any dividends in relation to it are non-cumulative;

(iii) it is available to absorb losses on a going concern basis;

(iv) it ranks for repayment upon winding up or insolvency after all other debts and liabilities;

(v) it is undated;

(vi) the proceeds of an issue of permanent share capital is immediately and fully available to the Insurer;

(vii) the insurer is not obliged to pay any dividends on the shares (except in the form of shares that themselves comply with this paragraph;

(viii) the Insurer does not have any other obligation or commitment to transfer any economic benefit in relation to that permanent share capital;

(ix) dividends and other charges on the shares can only be paid out of accumulated realised profits.

(b) Undistributable reserves—

(i) Undistributable reserves has the meaning attributed to it by section 70(7) of the Banking (Victoria Falls International Financial Services Centre) (Companies) Regulations, 2025 namely any of the following—

(ii) a company's share premium account;

(iii) a company's capital redemption reserve;

(iv) the amount by which a company's accumulated, unrealised profits (so far as not previously utilised by distribution or capitalisation) exceeds its accumulated, unrealised losses (so far as not previously written off in a reduction or reorganisation of capital duly made);

(v) any other reserve that the company is prohibited from distributing by its articles of association or under any applicable Centre regulations or Centre rules.

(c) Undistributable reserves also include capital contributions if—

(i) the capital contributions satisfy the requirements of paragraph 3(a) subparagraph (i) to (ix); and

(ii) the Insurer advises the Centre of its intention to include the capital contributions at least 30 days before the day they were included.

(d) Fund for future appropriations

Fund for future appropriations means the fund comprising all funds the allocation of which either to policyholders or to shareholders has not been determined by the end of the financial year, or the balance sheet items under international accounting standards which in aggregate represent as nearly as possible that fund.

(e) Intangible assets

Intangible assets include goodwill, capitalised development costs, brand names, trademarks and similar rights and licences.

4. Components of Tier 2 Capital

(a) Perpetual qualifying hybrid capital instruments

An insurer may only include perpetual qualifying hybrid capital instruments as part of its Tier 2 Capital if—

(i) they are unsecured, subordinated and fully paid-up;

(ii) they are perpetual; and
(iii) they are available to absorb losses on a going concern basis.

(b) Subordinated debt

(a) An Insurer must not include subordinated debt as part of its Tier 2 Capital unless it meets the following conditions—

A. the claims of the subordinated creditors must rank behind those of all unsubordinated creditors;

B. no interest or principal may be payable—

I. at a time when the Insurer is in breach of its minimum capital requirement; or

II. if the payment would mean that the Insurer would be in breach of these paragraphs;

C. the only events of default must be non-payment of any interest or principal under the debt agreement or the winding-up of the Insurer;

D. the remedies available to the subordinated creditor in the event of non-payment in respect of the subordinated debt must be limited to petitioning for the winding up of the Insurer or proving for the debt and claiming in the liquidation of the insurer;

E. any events of default and any remedy described in subparagraph D must not prejudice the matters in sub-paragraphs A and B;

F. in addition to the requirements about repayment in subparagraphs A and B, the subordinated debt must not become due and payable before its stated final maturity date except on an event of default complying with subparagraph C;

G. the agreement and the debt are governed by the laws of a jurisdiction—

I. under which the other conditions mentioned in this sub-paragraph can be met; or

II. that is otherwise acceptable, generally or in a particular case, to the Centre;

H. to the fullest extent permitted under the law of the relevant jurisdictions, creditors must waive their right to set off amounts they owe the Insurer against subordinated amounts owed to them by the Insurer;

I. the terms of the subordinated debt must be set out in a written agreement or instrument that contains terms that provide for the conditions set out in paragraphs A to H;

J. the debt must be unsecured and fully paid up;

K. the Insurer has notified the Centre that it intends to include subordinated debt as part of its eligible capital and the Centre has not advised the Insurer in writing within thirty days of the date of the notification that the subordinated debt must not form part of its eligible capital—

(i) an insurer must not include in its eligible capital subordinated debt issued with step-ups in the first 5 years following the date of issue.

(ii) for the purposes of calculating the amount of subordinated debt that may be included in its eligible capital, an insurer must amortise the principal amount on a straight-line basis by twenty *per centum* per annum in its final 4 years to maturity.

(c) Legal opinions on Tier 2 Capital instruments—

(i) an insurer must obtain a written external legal opinion stating that the requirements of sub-paragraphs (a) and (b) have been met in respect of any perpetual qualifying hybrid capital instrument or subordinated debt that the Insurer is proposing to include as eligible capital.

(ii) an insurer must provide copies of the opinions referred to in subparagraph (i) to the Centre if requested by the Centre to do so.

(d) Other Tier 2 Capital instruments

An insurer may include additional items in its Tier 2 Capital with the written approval of the Centre.

5. Deductions from total of Tier 1 and Tier 2 Capital

(a) Investments in subsidiaries and associates

An insurer must deduct investments in subsidiaries and associates from the total of Tier 1 Capital and Tier 2 Capital.

(b) Connected lending of a capital nature

An insurer must deduct connected lending of a capital nature from the total of Tier 1 and Tier 2 Capital.

(c) Inadmissible assets

An insurer must deduct the following inadmissible assets from the total of Tier 1 Capital and Tier 2 Capital—

(i) tangible fixed assets, including inventories, plant and equipment and vehicles;

(ii) deferred acquisition costs;
(iii) deferred tax assets;
(iv) deficiencies of net assets in subsidiaries;
(v) any investment by a subsidiary of the Insurer in the Centre incorporated;
(vi) insurer's own shares;
(vii) holdings of other investments which are not readily realisable investments; and
(viii) any other assets to be deducted from eligible capital as directed by the Centre.

6. Limits on the use of different forms of capital

(a) Instruments not to be included in Tier 2 Capital—exceeding 100% of Tier 1 Capital

A capital instrument is not eligible for inclusion in Tier 2 Capital to the extent that its inclusion will result in the aggregate amount of Tier 2 Capital exceeding 100% of eligible Tier 1 Capital (net of deductions).

FOURTH SCHEDULE (*Section 26(b), 35, 82(1)*)

CALCULATION OF MINIMUM CAPITAL REQUIREMENT

1. Minimum capital requirement

(a) The Capital Floor:
(i) an insurer must maintain a paid-up share capital of not less than the capital floor, or an equivalent sum in any currency acceptable to the Centre.
(ii) an insurer must maintain minimum shareholders' funds of at least twenty-five *per centum* of the capital floor or an equivalent sum in any currency acceptable to the Centre.
(iii) the capital floor is—
A. United States $7,000,000 for an insurer carrying on general insurance business;
B. United States $7,000,000 for an insurer carrying on long-term insurance business;
or
(iv) an amount specified in writing by the VFIFSC.
(b) the minimum capital requirement for general insurance business:
(i) the minimum capital requirement for an insurer carrying on general insurance business is an amount not less than the higher

of—

A. twelve *per centum* of that insurer's gross written premiums during the previous financial year, net of—

I. the amount of any premium taxes, rebates, refunds, and commissions accrued by the insurer, and

II. the gross amount of any reinsurance premiums (after deduction of any rebates or commissions receivable by the insurer) ceded by the insurer in respect of general insurance business during that preceding financial year;

B. twelve *per centum* of the value of claims reserves and premium reserves, net of reinsurance and amounts reserved to maximum; and

C. the capital floor applicable to that insurer.

(ii) For the purposes of subparagraph (b)(i)A, any funds received by an insurer in return for the assumption of insurance obligations under a novation, portfolio transfer or other scheme or arrangement must be included in the gross written premium income computation at a value—

A. determined on a basis acceptable to the Centre; and

B. supported by an actuarial opinion acceptable to the Centre.

(iii) reinsurance ceded by an insurer to an associated party shall not be taken into account for the purposes of the minimum capital requirements calculation unless—

A. the associated party is an insurer and meets the solvency requirements in these regulations; or

B. the Centre, in any particular case, consents in writing to that reinsurance being taken into account;

(c) The minimum capital requirement for long-term insurance business—

(i) the minimum capital requirements of an insurer carrying on long-term insurance business is an amount not less than the higher of—

A. two and half *per centum* of that insurer's total reserves, net of reinsurance; and

B. the capital floor applicable to that insurer;

(ii) where an insurer has entered into contracts of insurance falling within long-term insurance Category 3 (Linked long-term business), the value of the total reserves in subparagraph (c)(i) A shall be reduced by the value of the linked liabilities.

(iii) reinsurance ceded by an insurer to an associated party shall not be taken into account for the purposes of the minimum capital requirement calculation unless—

A. the associated party is an insurer and meets the solvency requirements in these regulations, or

B. the Centre, in any particular case, consents in writing to that reinsurance being taken into account.

FIFTH SCHEDULE (*sections 2,* 26(c))

CALCULATION OF PRESCRIBED CAPITAL REQUIREMENT

1. Calculation of prescribed capital requirement

The prescribed capital requirement for an insurer is the higher of—

(a) one hundred and fifty *per centum* of the insurer's minimum capital requirement; and

(b) the Insurer's risk-based capital requirement.

2. Risk-based capital requirement

(a) The risk-based capital requirement for an insurer that, under section 27(1), has been approved to use its own internal model to calculate its risk-based capital requirement is the amount calculated using that model.

(b) The risk-based capital requirement for an Insurer that, under section 27(1), has been approved to use its own internal model to replace one or more components of its investment, insurance and operational risk requirements is the amount calculated using those components as replaced and the other components of the Insurer's investment, insurance and operational risk requirements.

(c) The risk-based capital requirement for any other Insurer is the sum of the Insurer's—

(i) investment risk requirement;

(ii) insurance risk requirement; and

(iii) operational risk requirement.

3. Investment risk requirement

An insurer's investment risk requirement is the sum of its—

A. asset risk component;

B. off-balance sheet asset risk component; and

C. off-balance sheet liability risk component.

4. Insurance risk requirement

An insurer's insurance risk requirement is the sum of its—

A. premium risk component;

B. outstanding claims risk component;

C. long-term insurance risk component; and

D. insurance concentration risk component.

5. Operational risk requirement

(i) The amount of an insurer's operational risk requirement is two *per centum* of whichever is the higher of—

A. the Insurer's gross written premiums in the twelve months ending on the solvency reference date; and

B. its technical provisions (without deduction for reinsurance) as at the solvency reference date.

(ii) If the amount calculated under subparagraph (i) is more than a ceiling, calculated as:

$$\{\text{investment risk requirement} + \text{insurance risk requirement}\} \times 0.15 \left(\frac{\quad}{0.85}\right);$$

then the Insurer's operational risk requirement is the amount of the ceiling.

6. Counterparty Grades

(a) Interpretation

(i) In this Schedule—

"counterparty grade (or grade) has the meaning given by subparagraph (b); and

"invested asset" means an asset, right or interest held by an insurer for the primary purpose of generating revenue or for directly providing funds to meet the insurer's cash outflows in the future.

(ii) For this Schedule, the grade of an asset is its grade according to the rating of its counterparty, in accordance with Table A.

Table A Grade of assets according to counterparty ratings

Item	Rating of counterparty by:				Grade of asset
	Standard and Poor's	**Moody's**	**A. M. Best**	**Fitch**	
1	AAA	Aaa	A++	AAA	1
2	AA+ AA AA-	Aa1 Aa2 Aa3	A+	AA+ AA AA-	2
3	A+ A A-	A1 A2 A3	A A-	A+ A A-	3
4	BBB+ BBB BBB-	Baa1 Baa2 Baa3	B++ B+	BBB+ BBB-	4
5	BB+ or below	Ba1 or below	B or below	BB+ or below	5

(3) Unrated assets, exposures and counterparties must be classified as Grade 5.

(b) Using different credit rating agencies

(i) an insurer must rely on the ratings issued by the same credit rating agency for determining counterparty grades unless the Insurer has good reason to use a different credit rating agency or agencies.

(ii) if a counterparty or debt obligation has been rated by more than one rating agency and there are two or more ratings that lead to different capital charges, the Insurer must use the credit rating that results in the highest capital charge.

(iii) an insurer must not use the rating of an agency that is not in Table A unless the insurer has the written permission of the Centre.

7. Asset risk component

(a) Asset risk component:

(i) an insurer's asset risk component is the sum of the amounts obtained by multiplying the value of each asset of the Insurer,

graded according to the counterparty grade of the asset, by the percentage applicable to that asset, under—

A. for assets that are not reinsurance assets—Table B1;

B. for assets that are reinsurance assets where the reinsurer is subject to prudential supervision by a subparagraph (ii) regulator—Table B2; or

C. for assets that are reinsurance assets where the reinsurer is not subject to prudential supervision by a subparagraph (ii) regulator—Table B3.

(ii) a regulator is a subparagraph (ii) regulator if it is located—

A. in the Centre or the Republic of Zimbabwe;

B. in one of the member states of the European Union;

C. in Australia, Canada, Hong Kong, Iceland, Japan, Norway, Singapore, Switzerland, the United States of America; or

D. in any other jurisdiction that is a signatory to the Multilateral Memorandum of Understanding on Cooperation and Information Exchange initiated by the International Association of Insurance Supervisors.

E. in any jurisdiction that is a members of the International Association of Insurance Supervisors.

Table B1: Percentage applicable to assets that are not reinsurance assets

Item	**Asset**	**%**
1	Cash, bank deposits and other cash equivalents Grade 1 sovereign bonds	0.50
2	Bonds that mature, or are redeemable, in less than 1 year issued by a counterparty with a rating of Grade 1 or 2 (excluding subordinated debt and government debt obligations dealt with anywhere else in this Table) cash management trusts with a counterparty rating of Grade 1 or 2	1.00
3	Unpaid premiums due 6 months or less previously from a counterparty with a rating of Grade 1, 2 or 3 bonds that mature, or are redeemable, in 1 year or more issued by a counterparty with a rating of Grade 1 or 2 (excluding subordinated debt and government debt obligations dealt with anywhere else in this table)	2.00

Item	Asset	%
4	unpaid premiums due 6 months or less previously from an unrated counterparty or a counterparty with a rating of Grade 4 or 5 bonds issued by a counterparty with a rating of Grade 3 (excluding subordinated debt) cash management trusts with a counterparty rating of Grade 3 secured loans	4.00
5	unpaid premiums due more than 6 months previously from a counterparty with a rating of Grade 1, 2 or 3 bonds issued by a counterparty with a rating of Grade 4 (excluding subordinated debt) cash management trusts with a counterparty rating of Grade 4	6.00
6	unpaid premiums due more than 6 months previously from an unrated counterparty or a counterparty with a rating of Grade 4 or 5 bonds issued by a counterparty with a rating of Grade 5 (excluding subordinated debt) cash management trusts with a counterparty rating of Grade 5 listed subordinated debt	8.00
7	Unlisted subordinated debt preference shares	10.00
8	Listed equity investment listed trusts	16.00
9	Direct holdings of real estate unlisted equity investment unlisted trusts	20.00
10	Loans to: (a) directors of the Insurer; (b) directors of *related* parties; or (c) dependent relatives of such directors	100.00
11	Other non-reinsurance assets not mentioned in this Table	20.00

Table B2: Percentage applicable to reinsurance assets—reinsurer supervised by subparagraph (ii) regulator

Item	Asset	%
1	Rreinsurance assets due from reinsurers with a counterparty rating of Grade 1	1.00
2	Reinsurance assets due from reinsurers with a counterparty rating of Grade 2	2.00

Item	Asset	%
3	Reinsurance assets due from reinsurers with a counterparty rating of Grade 3	4.00
4	Reinsurance assets due from reinsurers with a counterparty rating of Grade 4	6.00
5	Reinsurance assets due from reinsurers with a counterparty rating of Grade 5	8.00

Table B3: Percentage applicable to reinsurance assets—reinsurer not supervised by subparagraph (ii) regulator

Item	Asset	%
1	Reinsurance assets due from reinsurers with a counterparty rating of Grade 1	1.20
2	Reinsurance assets due from reinsurers with a counterparty rating of Grade 2	2.40
3	Reinsurance assets due from reinsurers with a counterparty rating of Grade 3	4.80
4	Reinsurance assets due from reinsurers with a counterparty rating of Grade 4	7.20
5	Reinsurance assets due from reinsurers with a counterparty rating of Grade 5	9.60

(b) Effect of guarantee or collateral

(i) assets that have been explicitly, unconditionally and irrevocably guaranteed for their remaining term to maturity by a guarantor with a counterparty rating in Grades 1, 2 or 3 who is not a related party to the insurer may be assigned the asset risk charge that would apply to a debt instrument issued from the guarantor;

(ii) where an insurer holds collateral against an asset, and this collateral takes the form of a charge, mortgage or other security interest in, or over, cash, or any debt security whose issuer has a counterparty rating of Grades 1, 2 or 3, the Insurer may apply the asset risk charge relevant to the collateral (instead of applying the asset risk charge that would otherwise apply to the asset);

(iii) the provisions in subparagraph (i) and (ii) above apply only to so much of the asset that is covered by the guarantee or the collateral.

(c) assets subject to mortgage or charge—

(i) subject to subparagraph (ii), assets of the Insurer that are under a fixed or floating charge, mortgage or other security are subject to an asset risk charge of one hundred *per centum* to the extent of the indebtedness secured on those assets. This would replace the asset risk charge that would otherwise apply to the secured assets;

(ii) where the security supports an insurer's insurance liabilities, the asset risk charge of one hundred *per centum* is applicable only to the amount by which the market value of the charged assets exceeds the Insurer's supported liabilities.

(d) Excluded assets

An insurer need not include an amount in the asset risk charge for any asset excluded from eligible capital in accordance with the Table B1 in subparagraph (a).

8. Off-Balance Sheet Asset Risk Component

(a) When off-balance sheet asset risk component must be calculated:

An insurer must calculate an off-balance sheet asset risk component, if the Insureris, as of the solvency reference date, a party to a derivative contract, including a forward, future, swap, option or other similar contract, but not—

(i) a put option serving as a guarantee;

(ii) a foreign exchange contract which has an original maturity of 14 calendar days or less; or

(iii) an instrument traded on a futures or options exchange which is subject to daily mark-to- market and margin payments.

(b) How to calculate off-balance sheet asset risk component:

An Insurer must calculate its off-balance sheet asset risk component as the sum of the amounts obtained by applying the calculations set out in subparagraph (c) in respect of each derivative contract entered into by the Insurer that meets the description in subparagraph (a).

(a) amount of off-balance sheet asset risk component for derivative contract:

To calculate the amount of the off-balance sheet asset risk component, the asset equivalent value of each derivative (as determined in subparagraph (d)) is multiplied by the asset risk component as though the asset equivalent value were a debt obligation due from the derivative counterparty.

(d) Asset equivalent value:

(i) the asset equivalent value is the current mark-to-market exposure of the derivative (where positive) and a potential exposure add-on.

(ii) the potential exposure add-on is determined by multiplying the notional principal amount of the derivative in accordance with the following Table, according to the nature and residual maturity of the derivative.

Residual maturity	Interest rate contracts	Foreign exchange and gold contracts	Equity contracts	Precious metal contracts (except gold)	Other contracts
Less than 1 year	Nil	1.0%	6 .0%	7.0%	10.0%
1 year to less than 5 years	0.5%	5.0%	8.0%	7.0%	12.0%
5 years or more	1.5%	7.5%	10.0%	8.0%	15.0%

9. Off-balance sheet liability risk component

a. How to calculate off-balance sheet liability risk component:

(i) an insurer must calculate its off-balance sheet liability risk component by applying, to the face value of any credit substitute it has issued (including letters of credit, guarantees and put options serving as guarantees) the asset risk component that would be applied to the obligation or asset over which the credit substitute has been written;

(ii) where the credit substitute is supported by collateral or a guarantee, the provisions of subparagraph 4 (b) (Effect of guarantee or collateral) may be applied by the Insurer.

10. Premium Risk Component

(a) Application

Subparagraph (b) to (d) apply to general insurance business.

(b) Premium Risk Component

(i) in this paragraph—

"net premium liability" means premium liability less any expected reinsurance and non-reinsurance recoveries in respect of that premium liability as at the solvency reference date.

(ii) in insurer's premium risk component is the sum of the amounts obtained by multiplying the Insurer's net premium liability that falls within each category of general insurance business by the percentage applicable to that liability under Table C.

Table C Percentage factor—Premium Risk Component

Item	Category of General Insurance Business	Direct insurance %	Reinsurance: proportional %	Reinsurance: non-proportional %
1	Category 1, 2	16	18	21
2	Category 3, 18	13	15	18
3	Category 4, 5, 6, 7, 8, 9, 16, 17,19	16	18	21
4	Category 10, 11, 12, 13, 14, 15, 20	21	23	26

(c) Insurer may apply for different percentages

(i) The Centre may, on application of an Insurer conducting general insurance business in Category 1, give written consent to the use of percentages other than those in Table C if the Centre is satisfied that—

A. adequate mortality and morbidity information exists in respect of that business; and

B. the information provides a reasonable basis for reliance on actuarial principles.

(ii) The percentages that may be used must be those stated in the notice but may not be lower than—

A. twelve *per centum* in the case of direct insurance and proportional reinsurance; and

B. sixteen *per centum* in the case of non-proportional reinsurance.

(b) Certain contracts not included:

(i) if an insurer underwrites contracts of insurance in general insurance Categories 1 and 2 that are long-term insurance contracts, the insurer need not calculate a premium risk component in respect of those contracts;

(ii) for contracts of insurance in general insurance Categories 1 and 2 that are long-term insurance contracts, the Insurer must calculate a long-term insurance risk component.

(c) Outstanding claims risk component:

(i) In this paragraph—

"net liability for outstanding claims" means the liability in respect of future claims referred in section 50 (b), less any expected

reinsurance and non-reinsurance recoveries in respect of that liability as at the solvency reference date.

(ii) an insurer's outstanding claims risk component is the sum of the amounts obtained by multiplying the Insurer's net liability for outstanding claims that falls within each Category of insurance business by the percentage applicable to that liability under Table D.

Table D Percentage factor— Outstanding Claims Risk Component

Item	Categories	Direct insurance %	Reinsurance: proportional %	Reinsurance: non-proportional %
1	Category 1, 2	11	12	14
2	Category 3, 18	9	10	12
3	Category 4, 5, 6, 7, 8, 9, 16, 17, 19	11	12	14
4	Category 10, 11, 12, 13, 14, 15, 20	14	15	17

(d) VFIFC-incorporated insurer may apply for different percentages:

(i) the Centre may, by written notice, allow the insurer to use percentages other than those in Table D if the Centre is satisfied that—

A. adequate mortality and morbidity information exists in respect of that business; and

B. the information provides a reasonable basis for reliance on actuarial principles.

(ii) The percentages that may be used must be those stated in the notice but may not be lower than eight *per centum*

(e) certain contracts not included

(i) if an insurer underwrites contracts of insurance in Categories 1 and 2 that are long-term insurance contracts, the Insurer need not calculate an outstanding claims risk component in respect of those contracts.

(ii) for contracts of insurance in Categories 1 and 2 that are long-term insurance contracts, the Insurer must calculate a long-term insurance risk component.

11. Long-Term Insurance Risk Component

(a) Application

Subparagraphs (b) and (c) shall apply to long-term insurance business.

(b) Long-term insurance risk component

An insurer's long-term insurance risk component is the sum of the following amounts, so far as they relate to the long-term insurance business of the VFIFSC-incorporated insurer—

(i) 1.25% of the amount of provisions in respect of long-term insurance business that is [investment-linked insurance, where the contracts are subject to a capital guarantee;]

(ii) 0.5% of the amount of provisions in respect of long-term insurance business that is investment-linked insurance, where the contracts are not subject to a capital guarantee;

(iii) 3% of the amount of provisions in respect of long-term insurance business other than business described in subparagraphs (i) and (ii);

(iv) the amount obtained by multiplying the amount of capital at risk under subparagraph (c) by 0.1%;

(v) if the VFIFC-incorporated insurer issues policies that are contingent on mortality—the amount of anticipated claims cost arising from a 0.5 per thousand increase in the rate of lives insured dying over the following year.

(c) Capital at risk

(i) Capital at risk of an VFIFC-incorporated insurer means the total amount of sums assured on long-term insurance contracts issued by the VFIFC-incorporated insurer, less—

A. the total amount of mathematical reserves for those contracts; and

B. any expected reinsurance and non-reinsurance recoveries as at the Solvency Reference Date.

(ii) For an annuity, the sum assured must be taken to be the present value of the annuity payments.

(iii) The contribution of each contract to capital at risk must be determined separately. If the capital at risk calculated for a contract is less than zero, the capital at risk for that contract is taken to be zero.

12. Insurance Concentration Risk Component

(a) **Application**

Subparagraphs (b) and (d) shall apply to general insurance business.

(b) **Insurance Concentration Risk component**

(i) The insurance concentration risk component for an insurer is— maximum event retention (MER) +cost of reinstatement (CoR) (if any) – reinstatement premium (RP) (if any)

where:

MER has the meaning given in subparagraph (c) (Maximum event retention).

"cost of reinstatement or CoR" in relation to an extreme event, means—

(a) the rate that an Insurer has, under contract, agreed to pay the reinsurer concerned to reinstate the reinsurance cover relating to the extreme event; or

(b) if the Insurer has not agreed on the rate for the reinsurance cover—the Insurer's estimate of the cost of reinstating that cover based on current reinsurance market conditions (but no less than the original rate of reinsurance cover);

"reinstatement premiums or RP", for an VFIFC-incorporated insurer that also writes reinsurance, means the amount of inward reinstatement premiums from cedants in respect of catastrophe reinsurance cover if the Insurer has a binding netting arrangement with the cedant.

(ii) An Insurer must seek advice from its actuaryabout estimating its MER if the Insurer—

A. issues policies that do not have a maximum amount insured;

B. insures risks in multiple lines of business; or

C. has a complex portfolio of insurance risks.

(c) Maximum event retention

(i) MER or maximum event retention, in relation to an extreme event, is the maximum amount of loss to which the Insurer will be exposed due to an accumulation of exposures, after netting out any potential reinsurance recoveries.

(ii) In calculating its MER, an Insurer must—

A. set the amount based on the accumulation of exposures of the Insurer to a single extreme event;

B. assume a return period of 1 in 250 years (or greater), where the return period is the expected average period within which the extreme event will re-occur; and

C. take into account—

I. its risk profile and risk tolerance;

II. its claims history (using available internal and external data);

III. the capital resources available to it;

IV. its current and future solvency needs;

V. its reinsurance programme;

VI. the classes of insurance business underwritten by it; and

VII. the areas where it conducts business.

(iii) If an Insurer is exposed to more than one extreme event, its MER is the largest of the MERs calculated by the Insurer for those events.

(iv) Despite anything in these regulations, the Centre may require the Insurer to make adjustments in calculating its MER.

SIXTH SCHEDULE (*sections 76(2), 81(8)*)

PRUDENTIAL RETURNS BY INSURERS

Item	**Title of return**	**Form number**	**Frequency VFIFC-for Incorporated Insurers.**	**Frequency for Insurers which are not VFIFC-Incorporated**
1	Statement of financial position	INS100	Annually and quarterly	Annually and quarterly
2	Statement of comprehensive income	INS200	Annually and quarterly	Annually and quarterly
3	Analysis of Derivative activities	INS111	Annually and quarterly	n/a
4	Analysis of investment concentrations in foreign currency	INS113	Annually and quarterly	n/a

5	Analysis of investment concentrations risk	INS114	Annually and quarterly	n/a
6	Supplementary information	INS210	Annually and quarterly	Annually and quarterly
7	Calculation of Eligible Capital	INS300	Annually and quarterly	n/a
8	Calculation of prescribed capital requirement (PCR)	INS310	Annually and quarterly	n/a
9	Calculation of asset risk component	INS320	Annually and quarterly	n/a
10	Calculation of off balance sheet asset risk component	INS330	Annually and quarterly	n/a
11	Calculation of off balance sheet liability risk component	INS340	Annually and quarterly	n/a
12	Calculation of premium risk component	INS350	Annually and quarterly	n/a
13	Calculation of technical provisions risk component	INS360	Annually and quarterly	n/a

14	(For Long-Term Insurers only) Calculation of long-term insurance risk component	INS370	Annually and quarterly	n/a
15	Calculation of insurance concentration risk component	INS380	Annually and quarterly	n/a
16	Statement of reinsurance	INS400	Annually	Annually and quarterly
17	Statement of premium information	INS500	Annually and quarterly	Annually and quarterly
18	Statement of technical provisions and claims	INS600	Annually and quarterly	Annually and quarterly
19	(For Long-Term Insurers only) Statement of changes in long-term business	INS610	Annually	n/a
20	Statement of intra-group transactions	INS700	Annually and quarterly	n/a
21	Statement of largest clients	INS800	Annually and quarterly	Annually and quarterly